THIS VERSION OF THE PROPOSED AMENDMENTS TO THE PAYMENT SERVICES ACT 2019 IS IN DRAFT FORM AND SUBJECT TO CHANGE. IT IS ALSO SUBJECT TO REVIEW BY THE ATTORNEY GENERAL'S CHAMBERS

PAYMENT SERVICES ACT 2019

An Act to provide for the licensing and regulation of payment service providers and MAS-regulated stablecoin issuers, the recognition and regulation of foreign stablecoin issuers as MAS-recognised stablecoin issuers and stablecoins issued by them, the oversight of payment systems and designated systemic stablecoins, and connected matters and to make consequential and related amendments to certain other Acts.

PART 1

PRELIMINARY

Short title and commencement

1.—(1) This Act is the Payment Services Act 2019.

(2) Section 113 comes into operation on a date that the Minister appoints by notification in the *Gazette*.

Interpretation

2.—(1) In this Act, unless the context otherwise requires —

…

"designated systemic stablecoin" means a stablecoin that has been designated by the Authority under section 40B as a designated systemic stablecoin for the purposes of this Act;

"digital payment token" means ~~any digital representation of value (other than an excluded digital representation of value) that~~ —

(*a*) any digital representation of value (other than an excluded digital representation of value) that —

~~(*a*)~~ (i) is expressed as a unit;

~~(*b*)~~ (ii) is not denominated in any currency, and is not pegged by its issuer to any currency;

~~(*c*)~~ (iii) is, or is intended to be, a medium of exchange accepted by the public, or a section of the public, as payment for goods or services or for the discharge of a debt;

~~(*d*)~~ (iv) can be transferred, stored or traded electronically; and

~~(*c*)~~ (v) satisfies such other characteristics as the Authority may prescribe; or

(*b*) any stablecoin;

…

"e-money" means any electronically stored monetary value that —

(*a*) is denominated in any currency, or pegged by its issuer to any currency;

(*b*) has been paid for in advance to enable the making of payment transactions through the use of a payment account;

(*c*) is accepted by a person other than its issuer; and

(*d*) represents a claim on its issuer,

but does not include any deposit accepted in Singapore, from any person in Singapore, or any stablecoin;

"excluded stablecoin" means a stablecoin that is prescribed by the Authority as an excluded stablecoin;

…

"issuer", in relation to a stablecoin, means any individual or entity that issues a stablecoin;

…

"licensee" means a payment service provider or MAS-regulated stablecoin issuer, the licence of which is in force;

"MAS-regulated stablecoin", means any stablecoin that —

(*a*) meets such characteristics as the Authority may prescribe for the purposes of this Act; and

(*b*) is issued by an MAS-regulated stablecoin issuer;

"MAS-regulated stablecoin issuer" means a person that holds a stablecoin issuance licence of which is in force;

"participant"~~,~~ means —

(*a*) in relation to a payment system, ~~means~~ any person that is recognis in the rules of the payment system, or is otherwise recognised by t operator or settlement institution of the payment system, as bei

eligible to settle payments through the payment system with other persons that are similarly recognised, or to process payments through the payment system; and

(*b*) in relation to a stablecoin, any person that carries on a business of providing a digital payment token service in respect of the stablecoin;

…

"reference asset", in relation to any stablecoin, means the currency or asset, or pool or basket of currencies or assets, by reference to which its issuer maintains or purports to maintain its value;

…

"reserve assets", in relation to any stablecoin, refers to the assets backing the value of the stablecoin that are available to the issuer for honouring a redemption request by a holder of the stablecoin;

…

"stablecoin", means any digital representation of value that —

(*a*) is expressed as a unit;

(*b*) its issuer maintains or purports to maintain its value by reference to a single currency or asset, or a pool or basket of currencies or assets;

(*c*) is, or is intended to be, a medium of exchange accepted by the public, or a section of the public, as payment for goods or services or for the discharge of a debt;

(*d*) can be transferred, stored or traded electronically; and

(*e*) satisfies such other characteristics as the Authority may prescribe,

but does not include any excluded stablecoin;

"stablecoin issuance licence", means a licence granted under section 6;

…

(4) For the purposes of sections 5(2), ~~and~~ 13(13), 20A(1)(b) and paragraphs 2(*i*) and 2(m) of the First Schedule, a payment service, or the provision of a payment service, is incidental to any other business carried on by a person, if the payment service —

(*a*) is carried on, offered or provided by that person to support that other business; and

(*b*) is provided by that person in connection with the carrying on of that other business.

PART 2

LICENSING OF PAYMENT SERVICE PROVIDERS AND PERSONS WHO HOLD THEMSELVES OUT AS ISSUERS OF MAS-REGULATED STABLECOINS

Division 1 — Licensing of payment service providers and persons who hold themselves out as issuers of MAS-regulated stablecoins

…

Holding out as the issuer of an MAS-regulated stablecoin, etc.

5A.—(1) A person must not hold the person out as the issuer of an "MAS-regulated stablecoin" (or any of its derivatives in any language) unless the person is an MAS-regulated stablecoin issuer.

(2) A person must not hold any stablecoin out as an "MAS-regulated stablecoin" (or any of its derivatives in any language), unless the stablecoin is an MAS-regulated stablecoin.

(3) To avoid doubt, a reference in this section to an "MAS-regulated stablecoin" (or any of its derivatives in any language) does not include an MAS-recognised stablecoin.

(4) A person that contravenes subsection (1) or (2) shall be guilty of an offence and shall be liable on conviction —

(*a*) in the case of an individual, to a fine not exceeding $125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding $12,500 for every day or part of a day during which the offence continues after conviction; or

(*b*) in any other case, to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

Application for licence to provide any payment service or hold out as an issuer of an MAS-regulated stablecoin, etc.

6.—(1) A person that wishes to —

(*a*) carry on a business of providing any type of payment service; or

(*b*) hold out as an issuer of an MAS-regulated stablecoin or to hold any stablecoin that it issues out as an MAS-regulated stablecoin,

may apply to the Authority, in such form and manner as the Authority may require, for the appropriate licence under this section.

(2) The types of licences that may be applied for under subsection (1) are as follows:

(*a*) a money-changing licence;

(*b*) a standard payment institution licence;

(*c*) a major payment institution licence.;

(*d*) a stablecoin issuance licence.

(3) A person must have in force a money-changing licence to be entitled to carry on a business of providing a money-changing service, unless the person has in force a standard payment institution licence or major payment institution licence that entitles the person to carry on a business of providing that service.

(4) A person must have in force a standard payment institution licence or a major payment institution licence to be entitled to carry on a business of —

(*a*) providing one of the following payment services:

(i) an account issuance service;

(ii) a domestic money transfer service;

(iii) a cross-border money transfer service;

(iv) a merchant acquisition service;

(v) an e-money issuance service;

(vi) a digital payment token service; or

(*b*) providing 2 or more of the following payment services:

(i) an account issuance service;

(ii) a domestic money transfer service;

(iii) a cross-border money transfer service;

(iv) a merchant acquisition service;

(v) an e-money issuance service;

(vi) a digital payment token service;

(vii) a money-changing service.

(5) Despite subsection (4), a licensee must have in force a major payment institution licence if —

(*a*) both of the following apply:

(i) the licensee carries on a business of providing one or more of the following payment services:

(A) an account issuance service (other than an e-money account issuance service);

(B) a domestic money transfer service;

(C) a cross-border money transfer service;

(D) a merchant acquisition service;

(E) a digital payment token service;

(ii) the average, over a calendar year, of the total value of all payment transactions that are accepted, processed or executed by the licensee in one month exceeds —

(A) $3 million (or its equivalent in a foreign currency), for any one of those payment services; or

(B) $6 million (or its equivalent in a foreign currency), for 2 or more of those payment services;

(*b*) both of the following apply:

(i) the licensee carries on a business of providing an e-money account issuance service;

(ii) the sum of the following amounts exceeds $5 million (or its equivalent in a foreign currency):

(A) the average, over a calendar year, of the total value in one day of all e-money that is stored in any payment account issued by the licensee to a person whom the licensee has determined, according to such criteria as the Authority may specify by written notice, to be resident in Singapore;

(B) the average, over a calendar year, of the total value in one day of all e-money that is issued in Singapore, and is stored in any payment account issued by the licensee to any person whom the licensee has not determined, according to such criteria as the Authority may specify by written notice, to be resident outside Singapore; or

(*c*) both of the following apply:

(i) the licensee carries on a business of providing an e-money issuance service;

(ii) the average, over a calendar year, of the total value in one day of all specified e-money that is issued by the licensee exceeds $5 million (or its equivalent in a foreign currency).

(6) Where any licensee mentioned in subsection (5)(*a*)(i), (*b*)(i) or (*c*)(i) does not have in force a major payment institution licence on the relevant date —

(*a*) that licensee must, within the prescribed period, apply under section 7(1) to change that licensee's licence to a major payment institution licence; and

(*b*) subsection (5) does not apply to that licensee —

(i) during the prescribed period mentioned in paragraph (*a*); and

(ii) if that licensee complies with paragraph (*a*), until the date on which the application mentioned in that paragraph —

(A) is withdrawn by the licensee; or

(B) is approved or refused by the Authority.

(7) Upon receiving an application under subsection (1), the Authority may —

(*a*) grant a licence to the applicant~~,~~ —

(i) in respect of one or more types of payment services~~,~~ or

(ii) to hold out as an issuer of an MAS-regulated stablecoin, and to hold any stablecoin that it issues out as an MAS-regulated stablecoin,

with or without conditions; or

(*b*) refuse to grant a licence.

(8) Where an applicant has applied for a money-changing licence, the Authority must not grant the licence to the applicant unless —

(*a*) the applicant has a permanent place of business, or a registered office in Singapore;

(*b*) the Authority —

(i) is satisfied that the applicant is a fit and proper person under the Guidelines on Fit and Proper Criteria;

(ii) is satisfied as to the financial condition of the applicant;

(iii) is satisfied that the public interest will be served by the granting of the licence; and

(iv) is satisfied that the applicant meets such other criteria for the grant of the licence as the Authority considers relevant; and

(*c*) the application is accompanied by —

(i) such information as the Authority may require; and

(ii) a non-refundable application fee of a prescribed amount that is payable in such manner as the Authority may specify.

(9) Where an applicant has applied for a standard payment institution licence or major payment institution licence, the Authority must not grant the licence to the applicant unless —

(*a*) the applicant is a company, or is a corporation formed or incorporated outside Singapore;

(*b*) the applicant has a permanent place of business, or a registered office in Singapore;

(*c*) an executive director of the applicant —

(i) is a citizen or permanent resident of Singapore; or

(ii) if the applicant satisfies such conditions as may be prescribed, belongs to a prescribed class of persons;

(*d*) the applicant satisfies such financial requirements as may be prescribed;

(*e*) the Authority —

(i) is satisfied that the applicant is a fit and proper person under the Guidelines on Fit and Proper Criteria;

(ii) is satisfied as to the financial condition of the applicant;

(iii) is satisfied that the public interest will be served by the granting of the licence; and

(iv) is satisfied that the applicant meets such other criteria for the grant of the licence as the Authority considers relevant;

(*f*) the applicant satisfies such operational requirements as the Authority may specify; and

(*g*) the application is accompanied by —

(i) such information as the Authority may require; and

(ii) a non-refundable application fee of a prescribed amount that is payable in such manner as the Authority may specify.

(9A) Where an applicant has applied for a stablecoin issuance licence, the Authority must not grant the licence to the applicant unless –

(*a*) the applicant is a company;

(*b*) the applicant has a permanent place of business, or a registered office in Singapore;

(*c*) an executive director of the applicant –

(i) is a citizen or permanent resident of Singapore; or

(ii) if the applicant satisfies such conditions as may be prescribed, belongs to a prescribed class of persons;

(*d*) the applicant satisfies such financial requirements as may be prescribed;

(*e*) the Authority –

(i) is satisfied that the stablecoin issued or to be issued by the applicant meets the characteristics prescribed for the purpose of the MAS-regulated stablecoin definition;

(ii) is satisfied that the applicant is a fit and proper person under the Guidelines on Fit and Proper Criteria;

(iii) is satisfied as to the financial condition of the applicant;

(iv) is satisfied that the public interest will be served by the granting of the licence; and

(v) is satisfied that the applicant meets such other criteria for the grant of the licence as the Authority considers relevant;

(*f*) the applicant satisfies such operational requirements as the Authority may prescribe by regulations or specify by written notice; and

(*g*) the application is accompanied by –

(i) such information as the Authority may require; and

(ii) a non-refundable application fee of a prescribed amount that is payable in such manner as the Authority may specify.

(10) The Authority may at any time add to, vary or revoke any of the conditions of a licence imposed under subsection (7)(*a*) or this subsection.

(11) The Authority must not refuse an application under subsection (1) without giving the applicant an opportunity to be heard.

(12) Every standard payment institution, ~~and~~ every major payment institution and every MAS-regulated stablecoin issuer must, while its licence is in force, satisfy —

(*a*) such financial requirements as may be prescribed; and

(*b*) such operational requirements and other requirements as the Authority may prescribe by regulations or specify by written notice.

(12A) In addition to subsection (12), every MAS-regulated stablecoin issuer must, while its stablecoin issuance licence is in force, also ensure that —

(*a*) it satisfies any additional financial requirements as the Authority may specify by written notice, having regard to the risks arising from the activities of its stablecoin business and such other factors as the Authority considers relevant; and

(*b*) any MAS-regulated stablecoin issued continues to meet the characteristics prescribed for the purposes of the MAS-regulated stablecoin definition.

(13) A standard payment institution, ~~or~~ major payment institution or MAS-regulated stablecoin issuer that fails to comply with any requirement mentioned in subsection (12) or (12A) (as the case may be) must immediately notify the Authority of the failure.

(14) Where a standard payment institution, ~~or~~ major payment institution or MAS-regulated stablecoin issuer (each a "relevant entity") fails to comply with any requirement under subsection (12) or (12A) (as the case may be) —

(*a*) the Authority may, by written notice to the relevant entity, do either or both of the following:

(i) restrict or suspend the operations of the relevant entity;

(ii) give such directions to the relevant entity as the Authority considers appropriate; and

(*b*) the relevant entity must comply with that notice.

(15) A licensee that contravenes subsection (5) shall be guilty of an offence and shall be liable on conviction —

(*a*) in the case of an individual, to a fine not exceeding $125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding $12,500 for every day or part of a day during which the offence continues after conviction; or

(*b*) in any other case, to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(16) A licensee that, without reasonable cause, contravenes —

(*a*) in the case of a licensee that is a payment service provider, subsection (12), or fails to comply with any condition imposed by the Authority under subsection (7)(*a*) or (10);

(*b*) in the case of a licensee that is an MAS-regulated stablecoin issuer, subsection (12) or (12A) or fails to comply with any condition imposed by the Authority under subsection (7)(a) or (10),

shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding

$10,000 for every day or part of a day during which the offence continues after conviction.

(17) In this section —

"e-money account issuance service" means an account issuance service where each payment account issued stores e-money;

"relevant date" means —

in relation to a licensee mentioned in subsection (5)(*a*)(i), the date on which subsection (5)(*a*)(ii) first applies to that licensee;

in relation to a licensee mentioned in subsection (5)(*b*)(i), the date on which subsection (5)(*b*)(ii) first applies to that licensee; or

in relation to a licensee mentioned in subsection (5)(*c*)(i), the date on which subsection (5)(*c*)(ii) first applies to that licensee.

Variation or change of licence

7.—(1) A licensee (other than an MAS-regulated stablecoin issuer) may apply to the Authority, in the form and manner prescribed, for any of the following things:

(*a*) a variation of the licensee's standard payment institution licence or major payment institution licence by changing the types of payment services that the licence entitles the licensee to carry on a business of providing;

(*b*) a change of the licensee's money-changing licence to a standard payment institution licence or a major payment institution licence;

(*c*) a change of the licensee's standard payment institution licence to a money-changing licence or a major payment institution licence;

(*d*) a change of the licensee's major payment institution licence to a money-changing licence or a standard payment institution licence;~~.~~

(*e*) a change of the licensee's major payment institution licence to a stablecoin issuance licence.

(2) The Authority may require an applicant to provide the Authority with such information or documents in relation to the application as the Authority considers necessary.

(3) An application under subsection (1) must be accompanied by a non-refundable application fee of the prescribed amount that is payable in such manner as the Authority may specify by written notice.

(4) The Authority may approve an application under subsection (1) subject to such conditions or restrictions as the Authority thinks fit, or may refuse the application.

(5) The Authority must not refuse an application under subsection (1) without giving the applicant an opportunity to be heard.

...

Prohibition against solicitation

9.—(1) A person (other than a licensee that is a payment service provider or an exempt payment service provider), whether in Singapore or elsewhere, must not, whether by that person or through any other person in Singapore or elsewhere, do any of the following things:

(*a*) offer to provide, or issue any advertisement containing any offer to provide, to the public in Singapore or any section of the public in Singapore, any type of payment service, whether in Singapore or elsewhere;

(*b*) make an offer or invitation, or issue any advertisement containing any offer or invitation, to the public in Singapore or any section of the public in Singapore, to enter into any agreement relating to the provision by any person of any type of payment service, whether in Singapore or elsewhere.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction —

(*a*) in the case of an individual, to a fine not exceeding $125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding $12,500 for every day or part of a day during which the offence continues after conviction; or

(*b*) in any other case, to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(3) A person in Singapore (whether or not a licensee or an exempt payment service provider) must not, on behalf of a person outside Singapore that is not a licensee and is not an exempt payment service provider, do any of the following things:

(*a*) offer to provide, or issue any advertisement containing any offer to provide, to the public in Singapore or any section of the public in Singapore, any type of payment service, whether in Singapore or elsewhere;

(*b*) make an offer or invitation, or issue any advertisement containing any offer or invitation, to the public in Singapore or any section of the public

in Singapore, to enter into any agreement relating to the provision by any person of any type of payment service, whether in Singapore or elsewhere.

(4) A person that contravenes subsection (3) shall be guilty of an offence and shall be liable on conviction —

(*a*) in the case of an individual, to a fine not exceeding $125,000 or to imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding $12,500 for every day or part of a day during which the offence continues after conviction; or

(*b*) in any other case, to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(4A) A person (other than an MAS-regulated stablecoin issuer), whether in Singapore or elsewhere, must not, through any other person in Singapore or elsewhere, issue any advertisement to the public in Singapore or any section of the public in Singapore containing any representation to the effect that the first-mentioned person is an MAS-regulated stablecoin issuer or that any stablecoin issued by the first-mentioned person is an MAS-regulated stablecoin.

(4B) A person in Singapore must not, on behalf of a person that is not an MAS-regulated stablecoin issuer, issue any advertisement to the public in Singapore or any section of the public in Singapore containing any representation to the effect that the second-mentioned person is an MAS-regulated stablecoin issuer or that any stablecoin issued by the second-mentioned person is an MAS-regulated stablecoin.

(4C) A person that contravenes subsection (4A) or (4B) shall be guilty of an offence and shall be liable on conviction —

(*a*) in the case of an individual, to a fine not exceeding $125,000 or to the imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding $12,500 for every day or part of a day during which the offence continues after conviction; or

(*b*) in any other case, to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(5) For the purposes of subsections (1), ~~and~~ (3), (4A) and (4B), in determining whether an offer, invitation or advertisement is made or issued to the public in Singapore or any section of the public in Singapore, a person must have regard to such considerations as the Authority may prescribe.

(6) A person whose business is to publish, or to arrange for the publication, of advertisements (called in this subsection the publisher) shall not be guilty of an offence under subsection (2), ~~or~~ (4), or (4B) if the publisher proves that —

(*a*) the publisher received the advertisement for publication in the ordinary course of the publisher's business;

(*b*) the matters contained in the advertisement were not, wholly or in part, devised or selected by the publisher or by any person under the publisher's direction or control; and

(*c*) the publisher did not know and had no reason for believing that the publication of the advertisement would constitute an offence.

…

Lapsing, surrender, revocation or suspension of licence

11.—(1) A licence lapses —

(*a*) if the licensee (being an entity) is wound up or otherwise dissolved, whether in Singapore or elsewhere;

(*b*) if the licensee (being an individual) dies, becomes mentally incapacitated or is adjudicated a bankrupt; or

(*c*) upon the occurrence of such other event as may be prescribed.

(2) The Authority may revoke a licence if —

(*a*) it appears to the Authority that any of the following persons is not a fit and proper person under the Guidelines on Fit and Proper Criteria:

(i) the licensee;

(ii) any officer or employee of the licensee;

(iii) where the licensee is a partnership or limited liability partnership, any partner of that partnership or limited liability partnership;

(iv) where the licensee is a corporation, any 5% controller, 12% controller, 20% controller or indirect controller of the licensee;

(*b*) it appears to the Authority that either of the following is not satisfactory:

(i) the financial standing of the licensee;

(ii) the manner in which the licensee's business is being conducted;

(*c*) the licensee has contravened, or continues to contravene, any provision of this Act, or has failed, or continues to fail, to comply with any condition or restriction imposed, or any written notice issued, by the Authority under this Act;

(*d*) the licensee has failed to comply with any written notice issued by the Authority under the Monetary Authority of Singapore Act 1970;

[Act 18 of 2022 wef 28/04/2023]

(*e*) it appears to the Authority that the licensee has failed, or continues to fail, to comply with any of the licensee's obligations under or arising from —

(i) this Act; or

(ii) any written notice issued by the Authority under this Act;

(*f*) the licensee has provided to the Authority any information or document required under this Act that is false or misleading in a material particular;

(*g*) it appears to the Authority that any of the following persons has not performed that person's duties under this Act honestly or fairly:

(i) the licensee;

(ii) any officer or employee of the licensee;

(iii) where the licensee is a partnership or limited liability partnership, any partner of that partnership or limited liability partnership;

(*h*) it appears to the Authority that it would be contrary to the public interest for the licensee to continue its operations;

(*i*) the licensee fails to pay the annual fee mentioned in section 10(1);

(*j*) in the case of a licensee that is a payment service provider, the licensee fails or ceases to carry on a business of providing any type of payment service that the licensee is entitled to carry on a business of providing, and in the case of a licensee that is an MAS-regulated stablecoin issuer, the licensee fails or ceases to carry on a business of issuing MAS-regulated stablecoins including honouring redemption requests made by holders of such MAS-regulated stablecoins;

(*k*) the licensee fails or ceases to have an executive director who —

(i) is a citizen or permanent resident of Singapore; or

(ii) belongs to the prescribed class of persons mentioned in section 6(9)(*c*)(ii) or section 6(9A)(c)(ii) (as the case may be);

[Act 18 of 2022 wef 28/04/2023]

(*l*) if any executive director of the licensee belongs to the prescribed class of persons mentioned in section 6(9)(*c*)(ii) or section 6(9A)(c)(ii) (as the case may be), the licensee does not or ceases to satisfy any condition mentioned in section 6(9)(*c*)(ii)~~;~~ or section 6(9A)(c)(ii) (as the case may be); or

[Act 18 of 2022 wef 28/04/2023]

(*m*) the licensee has failed, or continues to fail, to comply with any written notice issued by the Authority under the Financial Services and Markets Act 2022.

[Act 18 of 2022 wef 28/04/2023]

(3) The Authority may, if the Authority considers it desirable to do so —

(*a*) suspend the licence of a licensee for a specified period, instead of revoking the licence under subsection (2); and

(*b*) at any time —

(i) extend the suspension for a specified period; or

(ii) cancel the suspension.

(4) Except as provided in subsection (5), the Authority must not revoke a licence under subsection (2) or suspend a licence under subsection (3), without giving the licensee an opportunity to be heard.

(5) The Authority may revoke or suspend a licence of a licensee, without giving the licensee an opportunity to be heard, in any of the following circumstances:

(*a*) the licensee (being an entity) is in the course of being wound up or otherwise dissolved, whether in Singapore or elsewhere;

(*b*) a receiver, a receiver and manager, a judicial manager or an equivalent person has been appointed, whether in Singapore or elsewhere, for or in respect of any property of the licensee;

(*c*) any of the following persons has been convicted, whether in Singapore or elsewhere, of an offence involving fraud or dishonesty, or of an offence the conviction for which involves a finding that the person convicted had acted fraudulently or dishonestly, whether the applicable offence is committed before, on or after 28 January 2020:

(i) the licensee;

(ii) where the licensee is a partnership or limited liability partnership, any partner of that partnership or limited liability partnership;

(iii) where the licensee is a corporation, any director, 5% controller, 12% controller, 20% controller or indirect controller of the licensee.

(6) A licensee that is a payment service provider whose licence has lapsed, or is revoked or suspended, must cease to carry on the business of providing any type of payment service from the date the licence lapses, or the revocation or suspension takes effect, as the case may be.

(6A) A licensee that is an MAS-regulated stablecoin issuer whose stablecoin issuance licence has lapsed, or is revoked or suspended, must cease to hold itself out as an issuer of an "MAS-regulated stablecoin", or to hold out any stablecoin it issues as an "MAS-regulated stablecoin", from the date that the stablecoin issuance licence lapses, or the revocation or suspension takes effect, as the case may be.

(7) Despite the lapsing or revocation of a licence granted to a person, unless the Authority otherwise directs, sections 16, 37, 72, 74, 76B and 76C continue to apply in relation to the person in respect of matters that occurred before the lapsing or revocation of the licence.

[Act 12 of 2024 wef 24/01/2025]

(8) A person that contravenes subsections (6) or (6A) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(9) A licensee may surrender the licensee's licence by submitting to the Authority a written notice of surrender, in such form as may be specified by the Authority by written notice.

(10) Any surrender, lapsing, revocation or suspension of a person's licence —

(*a*) does not avoid or affect any agreement, transaction or arrangement relating to the person's business of providing any payment service or issuance of any MAS-regulated stablecoins (as the case may be) that is entered into by the person, whether the agreement, transaction or arrangement was entered into before or after the surrender, lapsing, revocation, or suspension (as the case may be) of the licence; and

(*b*) does not affect any right, obligation or liability arising under any such agreement, transaction or arrangement.

(11) Upon any lapsing, revocation or surrender of a stablecoin issuance licence, the Authority may, by a written notice served on the person whose stablecoin issuance licence has lapsed, been surrendered or revoked under this Act ("former licensee"), direct the former licensee to do one or more of the following –

(*a*) give notice or make a public announcement that the former licensee is no longer entitled to hold itself out as an issuer of an "MAS-regulated stablecoin" or to hold out any stablecoin issued by it as an "MAS-regulated stablecoin";

(*b*) not dispose of, or otherwise deal with, any reserve asset that was maintained in compliance with section 21B immediately before the lapsing, surrender or revocation (as the case may be) of its stablecoin issuance licence except in accordance with such restrictions, within such period, and subject to such conditions as the Authority may specify;

(*c*) honour any redemption request from any holder of a specified stablecoin that the former licensee receives during the time period specified by the Authority, by paying the holder the par value of the specified stablecoin after deducting any applicable fees in connection with the redemption;

(*d*) cease any further issuance of stablecoins.

(12) Upon any suspension of a stablecoin issuance licence, the Authority may, by a written notice served on a person whose stablecoin issuance licence has been suspended under this Act ("suspended licensee"), direct the suspended licensee to do one or more of the following –

(*a*) give notice or make a public announcement that the suspended licensee is not entitled, during the period of suspension, to hold itself out as an issuer of an "MAS-regulated stablecoin" or to hold out any stablecoin issued by it as an "MAS-regulated stablecoin";

(*b*) not dispose of, or otherwise deal with, any reserve assets that was maintained in compliance with section 21B immediately before the suspension of its stablecoin issuance licence except in accordance with such restrictions, within such period, and subject to such conditions as the Authority may specify;

(*c*) honour any redemption request from any holder of a specified stablecoin that the person receives during the time period specified by the Authority, by paying the holder the par value of the specified stablecoin after deducting any applicable fees in connection with the redemption;

(*d*) cease any further issuance of stablecoins;

(*e*) to do, or refrain from doing, such things as are specified in the written notice to rectify any contravention or non-compliance of the Act.

(13) For the purposes of subsections (11) and (12), "specified stablecoin" means any stablecoin issued by a suspended licensee or former licensee, which –

(*a*) immediately before the suspension, revocation, surrender or lapsing (as the case may be) of that person's stablecoin issuance licence, was an MAS-regulated stablecoin; and

(*b*) remains in circulation.

(14) The Authority may at any time vary, rescind or revoke any written notice issued under subsections (11) or (12).

(15) A person that contravenes any requirement specified by the Authority in a written notice issued under subsections (11) or (12), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

...

Division 2 — Conduct of business

Subdivision (1) — General

Place of business or registered office of licensee

14.—(1) A licensee must not carry on a business of providing any type of payment service unless the licensee has —

(*a*) a permanent place of business; or

(*b*) a registered office in Singapore.

(1A) An MAS-regulated stablecoin issuer must have —

(*a*) a permanent place of business; or

(*b*) a registered office in Singapore.

(2) A licensee must appoint at least one person to be present, on such days and at such hours as the Authority may specify by written notice, at the licensee's permanent place of business or registered office to address any queries or complaints from —

(*a*) in the case of a licensee that is a payment service provider, any payment service user that uses any payment service provided by the licensee or is a customer of the licensee; and

(*b*) in the case of a licensee that is an MAS-regulated stablecoin issuer, any holder of an MAS-regulated stablecoin.

(3) A licensee must keep, or cause to be kept, at the licensee's permanent place of business or registered office, —

(*a*) in the case of a licensee that is a payment service provider, books of all ~~the licensee's~~ transactions in relation to any payment service provided by the licensee; and

(*b*) in the case of a licensee that is an MAS-regulated stablecoin issuer, books of all transactions in relation to the issuance of an MAS-regulated stablecoin by the licensee.

(4) A licensee must notify the Authority of any change in the address of any of the following places within 7 days after the date of that change:

(*a*) the licensee's permanent place of business or registered office in Singapore;

(*b*) every other place of business of the licensee.

(5) Except with the approval of the Authority under subsection (6), a licensee that is a payment service provider must not carry on a business of providing any money-changing service or cross-border money transfer service at any place of business other than the licensee's permanent place of business mentioned in subsection (1).

(6) Where a licensee that is a payment service provider wishes to carry on a business of providing any money-changing service or cross-border money transfer service at any place of business other than the licensee's permanent place of business mentioned in subsection (1) —

(*a*) the licensee must, before carrying on any such business at that other place of business, apply in writing to the Authority for approval to do so; and

(*b*) the Authority may give its approval for the licensee to carry on that business at that other place of business, subject to such conditions as the Authority thinks fit.

(7) The Authority may at any time add to, vary or revoke any condition imposed under subsection (6) or this subsection.

(8) The Authority may revoke its approval under subsection (6) if the licensee breaches any condition imposed on the licensee under subsection (6) or (7).

(9) A licensee that contravenes subsection (1), (2), (3) or (5) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(10) A licensee that contravenes subsection (4) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $2,000.

...

Obligation of licensee to provide information to Authority

16.—(1) Subject to subsection (4), the Authority may, by written notice, require any licensee, or any person acting on behalf of a licensee, to provide to the Authority, within such period as the Authority may specify in the notice, all such information relating to the licensee's business of providing any payment service or issuance of MAS-regulated stablecoins (as the case may be) as the Authority may specify in the notice.

(2) Without limiting subsection (1), the Authority may, in the notice under that subsection, require any person mentioned in that subsection to provide —

(*a*) information relating to any of the following matters:

(i) the operations of the licensee;

(ii) the pricing of, or any other form of consideration for —

(A) in the case of a licensee that is a payment service provider, any payment service offered or provided by the licensee; and

(B) in the case of a licensee that is an MAS-regulated stablecoin issuer, any MAS-regulated stablecoin issued by the licensee; and

(*b*) such other information as the Authority may require for the purposes of this Act.

(3) Subject to subsection (4) —

(*a*) a requirement imposed by the Authority under this section has effect despite any obligation as to secrecy or other restrictions upon the disclosure of information imposed by any rule of law or contract; and

(*b*) a person that complies with a requirement imposed by the Authority under this section is not to be treated as being in breach of any restriction on the disclosure of the information imposed by any rule of law or contract.

(4) Nothing in this section requires a person to disclose any information subject to legal privilege.

(5) A person that fails to comply with a notice under subsection (1) shall be guilty of an offence and shall be liable on conviction —

(*a*) in the case of an individual, to a fine not exceeding $12,500 or to imprisonment for a term not exceeding 12 months or to both and, in the case of a continuing offence, to a further fine not exceeding $1,250 for every day or part of a day during which the offence continues after conviction; or

(*b*) in any other case, to a fine not exceeding $25,000 and, in the case of a continuing offence, to a further fine not exceeding $2,500 for every day or part of a day during which the offence continues after conviction.

…

Prohibition from carrying on certain businesses

20.—(1) A licensee must not carry on a business of granting any credit facility to any individual in Singapore.

(2) A licensee that is entitled to and does carry on a business of providing an e-money issuance service —

(*a*) must not lend any customer money; and

(*b*) must not use any customer money, or any interest earned on any customer money, to finance wholly or to any material extent any activity of any business carried on by the licensee.

(3) A licensee that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(4) A licensee that contravenes subsection (2) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing

offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(5) In this section —

"credit facility" means —

(*a*) any advance, loan or other facility that is granted by a licensee to a customer who is an individual, and that gives the customer access to any funds or financial guarantee provided by the licensee; or

(*b*) any other liability that is incurred by a licensee on behalf of a customer who is an individual;

"customer money" means any money received in Singapore by a licensee from a person in Singapore, in exchange for which the licensee issues any e-money, but does not include any of the following:

(*a*) any money paid to the licensee to reduce the amount owed to the licensee by that person;

(*b*) any money that is repaid by the licensee to that person;

(*c*) any money which is paid to the licensee, or which the licensee has informed that person will be used, to defray any fee or charge imposed by the licensee for providing any payment service to that person;

(*d*) any money that is paid to, and received by, a recipient in accordance with the instructions of that person;

(*e*) any money paid to any other person that is entitled to the money.

Additional prohibitions on MAS-regulated stablecoin issuers

20A—(1) An MAS-regulated stablecoin issuer must not carry on, or enter into any partnership, joint venture or other arrangement with any person to carry on, whether in Singapore or elsewhere, any business (including the business mentioned in section 20(1)), except for the following:

(*a*) the business of issuing MAS-regulated stablecoins;

(*b*) any business of providing a digital payment token service in respect of any MAS-regulated stablecoin it issues, which is incidental to the business which the MAS-regulated stablecoin issuer may carry on under paragraph (a);

(*c*) any business or class of business as the Authority may prescribe, subject to such conditions as may be prescribed;

(*d*) any other business as the Authority may approve for the purposes of this section, subject to such conditions as the Authority may impose.

(2) An MAS-regulated stablecoin issuer must not —

(*a*) lend any specified money;

(*b*) use any specified money or any interest earned on any specified money to finance wholly or to any material extent any activity of any business carried on by the MAS-regulated stablecoin;

(*c*) pay any interest on any MAS-regulated stablecoin that it has issued;

(*d*) in the course of its trade or business, use any name, logo or trademark in a manner which indicates or represents that the MAS-regulated stablecoin issuer or its trade or business is related to or associated with a bank incorporated in Singapore;

(*e*) cause or knowingly permit any corporation formed or incorporated outside Singapore to issue any stablecoin that satisfies all of the following (such corporation called in this section a "foreign issuer") —

(i) is fungible with any MAS-regulated stablecoin issued by the MAS-regulated stablecoin issuer; and

(ii) confers a right on the reserve assets that the MAS-regulated stablecoin issuer is required to maintain pursuant to section 21B(1).

(3) Nothing in this section is to be construed as exempting an MAS-regulated stablecoin issuer from any requirement which, apart from this section, the MAS-regulated stablecoin issuer is required to comply with under any written law for the conduct of any business.

(4) An MAS-regulated stablecoin issuer that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000, and in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(5) An MAS-regulated stablecoin issuer that contravenes subsection (2) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(6) In this section —

"specified money" means any money that is received by an MAS-regulated stablecoin issuer from a customer, in exchange for the MAS-regulated stablecoins that has been transferred to those customers but does not include any of the following:

(*a*) any money paid to the MAS-regulated stablecoin issuer to reduce the amount owed to the MAS-regulated stablecoin issuer by that customer;

(*b*) any money that is repaid by the MAS-regulated stablecoin issuer to that customer;

(*c*) any money that is paid to, and received by, a recipient in accordance with the instructions of that customer;

(*d*) any money paid to any other person that is entitled to the money.

Stake in entity

20B. —(1) An MAS-regulated stablecoin issuer must not acquire or hold, directly or indirectly, any stake in any entity without the prior approval of the Authority.

(2) An approval of the Authority under this section may be subject to such conditions as the Authority may determine, including any condition relating to the operations or activities of the entity concerned.

(3) The Authority may at any time add to, vary, or revoke any condition imposed under subsection (2).

(4) Subsection (1) does not apply to —

(*a*) any interest held by way of security for the purposes of a transaction entered into in the ordinary course of the business of the MAS-regulated stablecoin issuer;

(*b*) any shareholding or interest acquired or held by the MAS-regulated stablecoin issuer in the course of satisfaction of debts due to it which is disposed of at the earliest suitable opportunity; and

(*c*) such other interest as may be prescribed.

(5) An MAS-regulated stablecoin issuer that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to fine not exceeding $100,000,

and in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(6) For purposes of subsection (1) —

"company" means a company incorporated under the Companies Act 1967 or any corresponding previous written law, a company incorporated outside Singapore, or a VCC;

"limited liability partnership" has the meaning given by section 2(1) of the Limited Liability Partnerships Act 2005, and includes a limited liability partnership formed or established outside Singapore;

"management", in relation to an entity, means —

(*a*) if the entity is a company, its directors;

(*b*) if the entity is a limited liability partnership, its partners or managers;

(*c*) if the entity is any other partnership, its partners;

(*d*) if the entity is a cooperative society, the members of its committee of management; or

(*e*) if the entity is any other society, its officers, and includes such other person of the entity as the Authority may prescribe;

"stake", in relation to an entity, means —

(*a*) any beneficial interest in the total number of issued shares or such other measure corresponding to shares in a company as may be prescribed;

(*b*) control of the voting power or such other measure corresponding to voting power in a company as may be prescribed; or

(*c*) any interest in the entity, by reason of which the management of the entity is accustomed or under an obligation, whether formal or informal, to act in accordance with the MAS-regulated stablecoin issuer's directions, instructions or wishes, or where the MAS-regulated stablecoin issuer is in a position to determine the policy of the entity;

"VCC" has the meaning given by section 2(1) of the Variable Capital Companies Act 2018.

(7) The Authority may, by regulations, disapply this section to any entity or class of entities, subject to such conditions as may be prescribed.

...

Additional requirements in respect of MAS-regulated stablecoin issuers

21B. —(1) An MAS-regulated stablecoin issuer must, while its stablecoin issuance licence is in force —

(*a*) maintain a separate pool of reserve assets in relation to each type of MAS-regulated stablecoin issued by the MAS-regulated stablecoin issuer, that are not less than the par value of the outstanding MAS-regulated stablecoins in circulation;

(*b*) provide each holder of any MAS-regulated stablecoin issued by the MAS-regulated stablecoin issuer the right to redeem the MAS-regulated stablecoin on a par value basis, for its equivalent value determined by reference to the reference asset of the MAS-regulated stablecoin, upon the MAS-regulated stablecoin issuer's receipt of a redemption request from the holder; and

(*c*) fulfil every redemption request within such time from the MAS-regulated stablecoin issuer's receipt of the request as may be prescribed by the Authority.

(2) An MAS-regulated stablecoin issuer must satisfy the requirements prescribed by regulations made under section 103(1) in respect of —

(*a*) any matter relating to the reserve assets mentioned in subsection (1)(a) including:

(i) the maintenance of such reserve assets including the composition and valuation of such reserve assets;

(ii) the extent to which such reserve assets may be commingled with other assets held by the MAS-regulated stablecoin issuer;

(iii) the safeguarding of such reserve assets in the event of insolvency of the MAS-regulated stablecoin issuer; and

(*b*) the terms and conditions that relate to the redemption of an MAS-regulated stablecoin.

(3) An MAS-regulated stablecoin issuer that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

Public disclosure requirement

21C. —(1) For the purposes of enhancing market discipline, the Authority may, by written notice to an MAS-regulated stablecoin issuer or a class of MAS-regulated stablecoin issuers, require the MAS-regulated stablecoin issuer or each MAS-regulated

stablecoin issuer in the class to disclose in writing to the public, in the form and manner specified by the Authority, any information relating to its operations and activities, and the manner it complies with any provision of the Act or a notice or direction issued under the Act.

(2) Without limiting subsection (1), a notice under that subsection may require an MAS-regulated stablecoin issuer to disclose one or more of the following information:

(*a*) the policies and procedures that the MAS-regulated stablecoin issuer has put in place to maintain the value of each MAS-regulated stablecoin issued by the MAS-regulated stablecoin issuer by reference to the reference asset of the MAS-regulated stablecoin ;

(*b*) the policies and procedures that the MAS-regulated stablecoin issuer has put in place to manage the reserve assets that the MAS-regulated stablecoin issuer is required to maintain pursuant to section 21B(1);

(*c*) the terms and conditions that would apply to a holder of each MAS-regulated stablecoin issued by the MAS-regulated stablecoin issuer;

(*d*) information relating to the reserve assets that the MAS-regulated stablecoin issuer is required to maintain pursuant to section 21B(1) and the MAS-regulated stablecoin issuer's compliance with the requirements in relation to the reserve assets that may be prescribed under section 21B(2).

(3) It is not necessary to publish any written notice issued under subsection (1) in the Gazette.

(4) The Authority may at any time, vary, rescind or revoke any notice issued under subsection (1).

(5) Any MAS-regulated stablecoin issuer which fails to comply with a notice under subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(6) Any MAS-regulated stablecoin issuer who fails to take reasonable care that any information provided to the public in purported compliance with a notice under subsection (1) is clear, fair and not misleading in a material particular, shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000, and in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

Subdivision (2) — Major payment institutions and MAS-regulated stablecoin issuers

Security provided by major payment institutions

22.—(1) Every major payment institution must maintain with the Authority security of a prescribed amount (or its equivalent in a foreign currency), for the due performance of the obligations of the major payment institution to every payment service user who is a customer of the major payment institution.

(2) The security mentioned in subsection (1) must be —

(*a*) in the form of a cash deposit;

(*b*) in the form of a bank guarantee that satisfies such requirements as the Authority may specify by written notice; or

(*c*) in such other form as the Authority may, in any particular case, allow.

(3) Where a major payment institution has surrendered its licence, or the licence of a major payment institution has lapsed or has been revoked, the Authority may enforce the security mentioned in subsection (1) to the extent required to pay any sums outstanding and claimed by payment service users who are customers of the major payment institution.

(4) To avoid doubt, where the security mentioned in subsection (1) is provided in the form of a bank guarantee, the Authority may call on the bank guarantee for the purposes of subsection (3), even though a closure certificate required under subsection (7) has not been submitted to the Authority.

(5) Where a major payment institution has surrendered its licence, or the licence of a major payment institution has lapsed or has been revoked, the Authority must release the security mentioned in subsection (1), or the remainder of that security, to the major payment institution, upon the Authority —

(*a*) being satisfied that there is no outstanding claim by any payment service user who is a customer of the major payment institution; and

(*b*) receiving the closure certificate required under subsection (7).

(6) Any security provided by a major payment institution under this section —

(*a*) is not liable to be attached, sequestered or levied upon for or in respect of any debt or claim whatsoever; and

(*b*) if the major payment institution is declared insolvent or is wound up by an order of the court — is deemed not to form part of the property of the major payment institution.

(7) A major payment institution must within 45 days, or such longer period as the Authority may allow, after the date on which the licence of the major payment institution is surrendered, lapses or is revoked, submit to the Authority a closure certificate issued by the auditors of the major payment institution confirming that —

(*a*) all moneys received from payment service users who are customers of the major payment institution have been received by the intended recipients of those moneys; and

(*b*) adequate provision has been made to meet any unforeseen liabilities in respect of every business of the major payment institution that its major payment institution licence entitles it to carry on.

Security provided by MAS-regulated stablecoin issuers

22A. —(1) Every MAS-regulated stablecoin issuer must maintain with the Authority, security of a prescribed amount (or its equivalent in a foreign currency), for due performance of its redemption obligations to the holders of the MAS-regulated stablecoins issued by the MAS-regulated stablecoin issuer, and obligations to customers from whom money has been received by the MAS-regulated stablecoin issuer in exchange for MAS-regulated stablecoins that have not been transferred to those customers.

(2) The security mentioned in subsection (1) must be —

(*a*) in the form of a cash deposit;

(*b*) in the form of a bank guarantee that satisfies such requirements as the Authority may specify by written notice; or

(*c*) in such other form as the Authority may, in any particular case, allow.

(3) Where an MAS-regulated stablecoin issuer has surrendered its stablecoin issuance licence, or its stablecoin issuance licence has lapsed or has been revoked, the Authority may enforce the security mentioned in subsection (1) to the extent required to pay any sums outstanding and claimed by holders of the MAS-regulated stablecoins issued by the MAS-regulated stablecoin issuer, and by customers from whom money has been received by the MAS-regulated stablecoin issuer in exchange for MAS-regulated stablecoins that have not been transferred to those customers.

(4) To avoid doubt, where the security mentioned in subsection (1) is provided in the form of a bank guarantee, the Authority may call on the bank guarantee for the purposes of subsection (3), even though a closure certificate required under subsection (7) has not been submitted to the Authority.

(5) Where an MAS-regulated stablecoin issuer has surrendered its stablecoin issuance licence, or its stablecoin issuance licence has lapsed or has been revoked, the Authority must release the security mentioned in subsection (1), or the remainder of that security, to the MAS-regulated stablecoin issuer, upon the Authority —

(*a*) being satisfied that —

(i) there are no outstanding redemption requests by any holder of an MAS-regulated stablecoin issued by the MAS-regulated stablecoin issuer that remain unsatisfied, during the time period mentioned in section 11(11)(c); and

(ii) there are no outstanding claims by any customer who has paid money to the MAS-regulated stablecoin issuer in exchange for MAS-regulated stablecoins that have not been transferred to such customers; and

(*b*) receiving the closure certificate required under subsection (7).

(6) Any security provided by an MAS-regulated stablecoin issuer under this section —

(*a*) is not liable to be attached, sequestered or levied upon for or in respect of any debt, claim whatsoever; and

(*b*) if the MAS-regulated stablecoin issuer is declared insolvent or is wound up by an order of the court – is deemed not to form part of the property of the MAS-regulated stablecoin issuer.

(7) An MAS-regulated stablecoin issuer must within 45 days, or such longer period as the Authority may allow, after the date on which its stablecoin issuance licence is surrendered, lapses or is revoked, submit to the Authority a closure certificate issued by the auditors of the MAS-regulated stablecoin issuer confirming that —

(*a*) all holders of MAS-regulated stablecoins issued by the MAS-regulated stablecoins issuer who have submitted redemption requests during the time period mentioned in section 11(11)(c), have received redemption proceeds equal to the par value of the redeemed MAS-regulated stablecoins, determined by reference to the reference asset of the MAS-regulated stablecoins;

(*b*) all customers who have paid money in exchange for MAS-regulated stablecoins that have not been transferred to those customers, have received repayment of such monies; and

(*c*) adequate provision has been made to meet any unforeseen liabilities in respect of every business that the MAS-regulated stablecoin issuer is permitted to carry on under its stablecoin issuance licence.

Safeguarding of money received from customer, etc.

23.—(1) Subsection (2) applies to —

(*a*) every major payment institution that carries on a business of providing any of the following payment services:

(i) a domestic money transfer service;

(ii) a cross-border money transfer service;

(iii) a merchant acquisition service;

(*b*) any prescribed major payment institution in respect of a prescribed payment service (other than a payment service mentioned in paragraph (*a*)(i), (ii) or (iii)); and

(*c*) any prescribed licensee (other than a major payment institution) in respect of a prescribed payment service.

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(2) A major payment institution or licensee mentioned in subsection (1) must ensure that no later than the next business day after any relevant money is received from, or on account of, a customer, the whole or such part, as may be prescribed, of the relevant money, is safeguarded in one of the following manners:

(*a*) by an undertaking, from a safeguarding institution, to be fully liable to the customer for the relevant money;

(*b*) by a guarantee given by a safeguarding institution for the amount of the relevant money;

(*c*) by depositing the relevant money in a trust account maintained with a safeguarding institution;

(*d*) in such other manner as may be prescribed.

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(3) Subsection (4) applies to —

(*a*) every major payment institution that carries on a business of providing an e-money issuance service;

(*b*) any prescribed major payment institution in respect of a prescribed payment service (other than a payment service mentioned in paragraph (*a*)); ~~and~~

(*c*) any prescribed licensee (other than a major payment institution) in respect of a prescribed payment service; and

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(*d*) every MAS-regulated stablecoin issuer.

(4) A major payment institution or licensee mentioned in subsection (3) must ensure that from the time any relevant money is received from, or on account of, a customer, the whole or such part, as may be prescribed, of the relevant money is safeguarded in one of the following manners:

(*a*) by an undertaking, from a safeguarding institution, to be fully liable to the customer for the relevant money;

(*b*) by a guarantee given by a safeguarding institution for the amount of the relevant money;

(*c*) by depositing the relevant money in a trust account maintained with a safeguarding institution;

(*d*) in such other manner as may be prescribed.

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(5) The Authority may make regulations under section 103 to provide for all or any of the following matters:

(*a*) any matter concerning the safeguarding of relevant money under subsection (2) or (4) by any safeguarding institution;

(*b*) any matter concerning the depositing of relevant money in a trust account mentioned in subsection (2)(*c*) or (4)(*c*), including —

(i) any matter concerning the trust governing the account;

(ii) the extent (if any) to which the relevant money may be commingled with any other money;

(iii) the manner in which the relevant money must be treated and dealt with, despite any other written law, on the occurrence of either or both of the following:

(A) any event affecting the ability of the major payment institution or licensee to which subsection (2) or (4) applies to perform its obligations, such as in the event of the insolvency of the major payment institution or licensee;

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(B) any event affecting the ability of the safeguarding institution to perform its obligations, such as in the event of the insolvency of the safeguarding institution; and

(iv) the circumstances (if any) in which a major payment institution or licensee to which subsection (2) or (4) applies may withdraw money from the account;

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(*c*) any matter concerning the safeguarding of relevant money in any manner mentioned in subsection (2)(*d*) or (4)(*d*), including —

(i) the extent (if any) to which a major payment institution or licensee to which subsection (2) or (4) applies may commingle the relevant money with any other money;

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(ii) the manner in which the relevant money must be treated and dealt with, despite any other written law, on the occurrence of any event affecting the ability of the major payment institution or licensee to which subsection (2) or (4) applies to perform its obligations, such as in the event of the insolvency of the major payment institution or licensee; and

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(iii) where the relevant money is safeguarded by being deposited in an account (other than a trust account mentioned in subsection (2)(*c*) or (4)(*c*)), the circumstances (if any) in which the major payment institution or licensee to which subsection (2) or (4) applies may withdraw any money from that account;

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(*d*) the obligations of a major payment institution or licensee to which subsection (2) or (4) applies to record and maintain a separate book entry for each customer, in relation to that customer's relevant money and, where applicable, e-money and digital payment tokens;

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(*e*) the obligations of a safeguarding institution that must be set out in a contract between a major payment institution or licensee to which subsection (2) or (4) applies and the safeguarding institution;

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(*f*) the form of acknowledgment that a major payment institution or licensee to which subsection (2) or (4) applies must obtain from a safeguarding institution;

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(*g*) the information that a major payment institution or licensee to which subsection (2) or (4) applies must provide to a safeguarding institution, including the date or time by which any relevant money must be safeguarded;

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(*h*) the manner in which a major payment institution or licensee to which subsection (2) or (4) applies conducts its dealings with a customer for the purposes of safeguarding the customer's relevant money, including the disclosure of any information to the customer;

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(*i*) any other matters relating to this section.

(6) Despite any other written law, where subsection (2)(*b*) or (4)(*b*) applies, the proceeds of the guarantee are payable, in the event of the insolvency of the major payment institution or licensee to which subsection (2) or (4) applies, into a separate trust account held by the major payment institution or licensee (as the case may be), which —

(*a*) must be designated in such a way as to show that it is an account held for the purpose of safeguarding the relevant money in accordance with this section; and

(*b*) must be used only for holding such proceeds on trust for each customer that had provided the relevant money to the major payment institution or licensee (as the case may be).

[Act 1 of 2021 wef 04/04/2024]
[Act 1 of 2021 wef 04/04/2024]

(7) All moneys deposited in an account mentioned in subsection (2)(*c*), (4)(*c*), (5)(*b*) or (*c*)(iii) or (6) —

(*a*) cannot be used for the payment of the debts of the major payment institution or licensee to which subsection (2) or (4) applies; and

[Act 1 of 2021 wef 04/04/2024]

(*b*) are not liable to be taken under or pursuant to an enforcement order or a process of any court.

[Act 25 of 2021 wef 01/04/2022]

(8) The Authority may, on the application of any person, by written notice grant approval, subject to such conditions as the Authority may specify in the notice, to any major payment institution or licensee to which subsection (2) or (4) applies to safeguard any relevant money in 2 or more of the manners mentioned in subsection (2)(*a*) to (*d*) or (4)(*a*) to (*d*).

[Act 1 of 2021 wef 04/04/2024]

(9) A major payment institution or licensee to which subsection (2) or (4) applies must notify the Authority, in such form or manner as the Authority may specify by written notice, of —

(*a*) the manner mentioned in subsection (2)(*a*) to (*d*) or (4)(*a*) to (*d*) that the major payment institution or licensee (as the case may be) has chosen to safeguard the relevant money;

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(*b*) the name of the safeguarding institution (if any) that will safeguard the relevant money in the manner mentioned in paragraph (*a*); and

(*c*) any change to the manner mentioned in paragraph (*a*) that the major payment institution or licensee (as the case may be) has chosen to safeguard the relevant money.

[Act 1 of 2021 wef 04/04/2024]
[Act 1 of 2021 wef 04/04/2024]

(10) Where the major payment institution or licensee to which subsection (2) or (4) applies is any of the following financial institutions, the major payment institution or licensee (as the case may be) must not concurrently be the safeguarding institution mentioned in paragraph (*a*) or (*b*) of the applicable subsection in relation to the relevant money received by the major payment institution or licensee (as the case may be) under the applicable subsection:

(*a*) a bank licensed under the Banking Act 1970;

(*b*) a merchant bank licensed under the Banking Act 1970;

(*c*) a finance company licensed under the Finance Companies Act 1967;

(*d*) any other financial institution that may be prescribed.

[1/2020]
[Act 1 of 2021 wef 04/04/2024]

(11) A major payment institution or licensee mentioned in subsection (1) that contravenes subsection (2), (9) or (10), or fails to comply with any condition imposed under subsection (8), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

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(12) A major payment institution or licensee mentioned in subsection (3) that contravenes subsection (4), (9) or (10), or fails to comply with any condition imposed under subsection (8), shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

[Act 1 of 2021 wef 04/04/2024]

(13) [*Deleted by Act 1 of 2021 wef 04/04/2024*]

(14) In this section —

"business day" means any day other than a Saturday, Sunday, public holiday or bank holiday;

"relevant money" —

(*a*) means any money —

(i) that is received —

(A) by a major payment institution from, or on account of, a customer in respect of any payment service mentioned in subsection (1)(*a*)(i), (ii) or (iii) or (3)(*a*);

(B) by a major payment institution prescribed for the purposes of subsection (1)(*b*) or (3)(*b*) from, or on account of, a customer in respect of any payment service prescribed in respect of the major payment institution; or

(C) by a licensee prescribed for the purposes of subsection (1)(*c*) or (3)(*c*) from, or on account of, a customer in respect of any payment service prescribed in respect of the licensee; and

(D) by an MAS-regulated stablecoin issuer from, or on account of, a customer in exchange for the transfer of any MAS-regulated stablecoin; and

(ii) that the major payment institution or licensee (as the case may be) —

(A) where subsections (1) and (2) apply — continues to hold at the end of each business day; or

(B) where subsections (3) and (4) apply and the major payment institution or licensee is a payment service provider — has held at any time and (in the case of an e-money issuance service) has issued specified e-money in exchange for; or~~but~~

(C) where subsections (3) and (4) apply and the licensee is an MAS-regulated stablecoin issuer – has held at any time until the customer has received the MAS-regulated stablecoin; but

(*b*) does not include all of the following:

(i) any money paid to the major payment institution or licensee (as the case may be) to reduce the amount owed to the major payment institution or licensee (as the case may be) by a customer;

(ii) any money that is repaid by the major payment institution or licensee (as the case may be) to a customer;

(iii) any money which is paid to the major payment institution or licensee (as the case may be), or which the major payment institution or licensee has informed a customer will be used, to defray any fee or charge imposed by the major payment institution or in the case of a licensee that is a payment service provider, for providing any payment service to a customer or in the case of a licensee that is an MAS-regulated stablecoin issuer, in connection with the transfer of any MAS-regulated stablecoin by the MAS-regulated stablecoin issuer to a customer;

(iv) where a major payment institution or licensee carries on a business of providing a domestic money transfer service, a merchant acquisition service or an e-money issuance service, any money that is paid to, and received by, a recipient in accordance with instructions given by a customer of the major payment institution or licensee (as the case may be) to the major payment institution or licensee;

(v) where a major payment institution or licensee carries on a business of providing a cross-border money transfer, any money that is paid by the major payment institution or licensee (as the case may be) in accordance with instructions given by a customer of the major payment institution or licensee (as the case may be) to the major payment institution or licensee, whether or not the recipient has received that money;

(vi) any money paid to any other person that is entitled to the money;

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"safeguarding institution" means —

(*a*) in the case of subsections (2)(*a*) and (4)(*a*) —

(i) a bank in Singapore; or

(ii) any other financial institution that may be prescribed for this sub-paragraph;

(*b*) in the case of subsections (2)(*b*) and (4)(*b*) —

(i) a bank in Singapore; or

(ii) any other financial institution that may be prescribed for this sub-paragraph;

(*c*) in the case of subsections (2)(*c*) and (4)(*c*), a person that the trust account mentioned in subsection (2)(*c*) or (4)(*c*) (as the case may be) is maintained with, being a person that satisfies such criteria as may be prescribed;

(*d*) in any case where any relevant money is safeguarded in such manner as may be prescribed for the purposes of subsection (2)(*d*) or (4)(*d*), a person safeguarding the relevant money in that manner, being a person that satisfies such criteria as may be prescribed; or

(*e*) in any other case, any bank in Singapore or financial institution mentioned in paragraph (*a*) or (*b*) or any person mentioned in paragraph (*c*) or (*d*).

…

Division 3 — Control of controllers of licensees

…

Power of Authority to issue directions for this Division

30.—(1) If the Authority is satisfied that a person has contravened section 28(1) or (6) or has failed to comply with any condition imposed under section 28(3) or (4), or if the Authority has served a written notice of objection under section 29, the Authority may, by written notice —

(*a*) direct the transfer or disposal of all or any of the shares in the licensee held by the person or any of the person's associates (called in this section the specified shares) within such time or subject to such conditions as the Authority considers appropriate;

(*b*) restrict the transfer or disposal of all or any of the specified shares; or

(*c*) make such other direction as the Authority considers appropriate.

(2) Where the Authority has issued any direction under subsection (1)(*a*) or imposed any restriction under subsection (1)(*b*), until a transfer or disposal is effected in accordance with the direction or until the restriction on the transfer or disposal is removed, as the case may be —

(*a*) no voting rights may be exercised in respect of the specified shares, unless the Authority expressly permits such rights to be exercised;

(*b*) no shares of the licensee may be issued or offered (whether by way of rights, bonus or otherwise) in respect of the specified shares, unless the Authority expressly permits such issue or offer; and

(*c*) except in a liquidation of the licensee, no payment may be made by the licensee of any amount (whether by way of dividends or otherwise) in respect of the specified shares, unless the Authority expressly authorises such payment.

(3) Subsection (2) has effect despite any provision of the Companies Act 1967 or the Insolvency, Restructuring and Dissolution Act 2018 or anything contained in the constitution of the licensee.

(4) Any issue or offer of shares in contravention of subsection (2)(*b*) is void, and a person to whom a direction has been issued under subsection (1)(*a*) or on whom a restriction has been imposed under subsection (1)(*b*) must immediately return those shares to the licensee, upon which the licensee must return to the person any payment received from the person in respect of those shares.

(5) Any payment made by a licensee in contravention of subsection (2)(*c*) is void, and a person to whom a direction has been issued under subsection (1)(*a*) or on whom a restriction has been imposed under subsection (1)(*b*) must immediately return the payment the person has received to the licensee.

Power of Authority to obtain information relating to this Division

31.—(1) The Authority may, by written notice, direct a licensee to obtain from any of its shareholders, and to provide to the Authority, any information relating to the shareholder that the Authority may require for either or both of the following purposes:

(*a*) ascertaining or investigating into the control of shareholding or voting power in the licensee;

(*b*) exercising any power or function under section 28, 29, 30, 32, ~~or~~ 100 or 100A.

(2) Without limiting subsection (1), the notice in subsection (1) may require the licensee to obtain and provide the following information:

(*a*) whether the shareholder has an interest in any share in the licensee as beneficial owner or as trustee;

(*b*) if the shareholder holds the interest in the share as trustee, to indicate as far as that shareholder is able to —

(i) the person for whom that shareholder holds the interest (either by name or by other particulars sufficient to enable that person to be identified); and

(ii) the nature of that person's interest.

(3) The Authority may, by written notice, require any shareholder (*X*) of a licensee, or any person (*Y*) that appears from information provided to the Authority under subsection (1) or this subsection to have an interest in any share in the licensee, to provide to the Authority any information relating to *X* or *Y* (as the case may be) that the Authority may require for either or both of the following purposes:

(*a*) ascertaining or investigating into the control of shareholding or voting power in the licensee;

(*b*) exercising any power or function under section 28, 29, 30, 32, ~~or~~ 100 or 100A.

(4) Without limiting subsection (3), the notice in subsection (3) may require *X* or *Y* to provide the following information:

(*a*) whether *X* or *Y* holds the interest as beneficial owner or as trustee;

(*b*) if *X* or *Y* holds the interest as trustee, to indicate as far as *X* or *Y* can —

(i) the person (*Z*) for whom *X* or *Y* holds the interest (either by name or by other particulars sufficient to enable *Z* to be identified); and

(ii) the nature of *Z*'s interest;

(*c*) whether any share or any voting right attached to the share is the subject of an agreement or arrangement described in section 2(2)(*c*)(vi), and if so, to give particulars of the agreement or arrangement and the parties to it.

…

Division 5 — Audit of licensees

Auditing

37.—(1) Despite the provisions of the Companies Act 1967, a licensee —

(*a*) must, on an annual basis and at its own expense, appoint an auditor; and

(*b*) if for any reason its auditor ceases to be its auditor, appoint another auditor as soon as practicable after such cessation.

(1A) A licensee that is an MAS-regulated stablecoin issuer must, in addition to the requirement in subsection (1), and at its own expense, appoint an auditor to —

(*a*) carry out an audit in respect of the MAS-regulated stablecoin issuer's observance of its obligations under or arising from this Act in relation to reserve assets (such audit called for the purposes of this section, a "reserve assets attestation") at such frequency and in accordance with such standards as the Authority may specify; and

(*b*) submit a report of every reserve assets attestation (each report called for the purposes of this section, a "reserve assets attestation report") to the Authority in such form as may be specified and within such time as the Authority may allow.

(1B) A licensee that is an MAS-regulated stablecoin issuer may appoint the auditor that it is required to appoint under subsection (1) or another auditor to carry out the duties mentioned in subsection (1A) (such auditor called for the purposes of this section, the "reserve assets auditor").

(1C) A licensee that is an MAS-regulated stablecoin issuer must publish every reserve assets attestation report on its website within such time as the Authority may specify.

(2) The Authority may ~~appoint an auditor for a licensee~~ —

(*a*) in the case of a licensee that is a payment service provider, appoint an auditor for the licensee —

~~(*a*)~~(i) if the licensee fails to appoint an auditor as required under subsection (1); or

~~(*b*)~~(ii) if the Authority considers it desirable that another auditor should act with the auditor appointed under subsection (1); and ~~.~~

(*b*) in the case of a licensee that is an MAS-regulated stablecoin issuer —

(i) appoint an auditor for the licensee —

(A) if the licensee fails to appoint an auditor as required under subsection (1); or

(B) if the Authority considers it desirable that another auditor should act with the auditor appointed under subsection (1); or

(ii) appoint a reserve assets auditor for the licensee —

(A) if the licensee fails to appoint a reserve assets auditor as required under subsection (1A); or

(B) if the Authority considers it necessary that another auditor should act with the reserve assets auditor appointed under subsection (1A).

(3) The Authority may at any time fix the remuneration to be paid by a licensee to an auditor appointed by the Authority under subsection (2) for the licensee.

(4) The duties of an auditor appointed under subsection (1) or (2) are as follows:

(*a*) to carry out, for the year in respect of which the auditor is appointed, an audit of the accounts of the licensee;

(*b*) to carry out an audit of —

(i) in the case of a licensee that is a payment services provider, the transactions in relation to the payment services provided by the licensee, in particular, in respect of the licensee's observance of the provisions of this Act and any of the requirements imposed under any other written law administered by the Authority; and

(ii) in the case of a licensee that is an MAS-regulated stablecoin issuer, the transactions in relation to any MAS-regulated stablecoin issued by the licensee, in particular, in respect of the licensee's observance of the provisions of this Act and any of the requirements imposed under any other written law administered by the Authority;

(*c*) to submit a report of the audit to the Authority in such form as may be prescribed and within such time as the Authority may allow;

(*d*) to make a report —

(i) in the case of a licensee incorporated in Singapore, on the financial statements or consolidated financial statements of the licensee in accordance with section 207 of the Companies Act 1967; or

(ii) in the case of a licensee incorporated outside Singapore, on the latest annual balance sheet and profit and loss account of the licensee, together with any notes on that balance sheet and profit and loss account, showing the assets and liabilities and profit or loss arising out of the operations of the licensee in Singapore, that complies with section 207 of the Companies Act 1967.

(5) The Authority may, by written notice to an auditor, impose all or any of the following duties on the auditor in addition to those provided under subsection (4), and the auditor must carry out the duties so imposed:

(*a*) a duty to submit such additional information in relation to the audit as the Authority considers necessary;

(*b*) a duty to enlarge or extend the scope of the audit of the licensee's business and affairs;

(*c*) a duty to carry out any other examination, or establish any procedure, in relation to the audit in any particular case;

(*d*) a duty to submit a report on any of the matters mentioned in paragraphs (*b*) and (*c*).

(6) The licensee must remunerate the auditor in respect of —

(*a*) any remuneration the Authority has fixed under subsection (3); and

(*b*) the discharge of all or any of the additional duties of the auditor imposed under subsection (5).

(7) Despite any other provision of this Act or the provisions of the Companies Act 1967, the Authority may, if the Authority is not satisfied with the performance of any duty by the auditor of a licensee, at any time direct the licensee to —

(*a*) remove the auditor; and

(*b*) appoint another auditor.

(8) The auditor's report made under subsection (4)(*d*) must be attached to the balance sheet and the profit and loss account, the financial statements or the consolidated financial statements (as the case may be) of the licensee, and a copy of the report, together with any report under subsection (5)(*d*), must be submitted in writing to the Authority.

(9) If an auditor, in the course of performing the auditor's duties, is satisfied that any of the following matters has occurred, the auditor must immediately report that matter to the Authority:

(*a*) there has been a serious breach or non-observance of the provisions of this Act or any of the requirements imposed under any other written law administered by the Authority;

(*b*) a criminal offence involving fraud or dishonesty has been committed;

(*c*) losses have been incurred that reduce the capital of the licensee by at least 50%;

(*d*) there is any irregularity that has or may have a material effect on the accounts of the licensee, including any irregularity that had caused a major disruption to, in the case of a licensee that is a payment service provider, the provision of any type of payment service to the customers of the licensee, and in the case of a licensee that is an MAS-regulated stablecoin issuer, the issuance and redemption of MAS-regulated stablecoins;

(*e*) the auditor is unable to confirm that the claims of creditors of the licensee are still covered by the assets of the licensee.

(10) Where an auditor or employee of the auditor discloses in good faith to the Authority —

(*a*) the auditor's or employee's knowledge or suspicion of any of the matters mentioned in subsection (9); or

(*b*) any information or other matter on which that knowledge or suspicion is based,

the disclosure is not a breach of any restriction upon the disclosure imposed by any law, contract or rules of professional conduct, and the auditor or employee is not liable for any loss arising out of the disclosure or any act or omission in consequence of the disclosure.

(11) A licensee that contravenes subsection (1) or (1A) (as the case may be) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(12) An auditor that contravenes subsection (5) or (9) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

...

PART 2A
DESIGNATION OF STABLECOIN

Division 1 – Information gathering powers over the issuer and participants in respect of a stablecoin

Provision of information to Authority

40A.—(1) The Authority may, by notice in the form and manner prescribed, require any of the following persons to provide to the Authority, within a reasonable period specified in the notice, such information relating to a stablecoin that the public or any section of the public may purchase, as the Authority may require:

(*a*) the issuer of the stablecoin;

(*b*) any participant in respect of the stablecoin.

(2) Without limiting subsection (1), the Authority may in a notice issued under that subsection require any person mentioned in subsection (1a) or (1b) to provide, whether in the form of a return to be provided on a periodic basis or otherwise —

(*a*) information relating to the issuance of the stablecoin including but not limited to the volume of stablecoins issued and the market value of all stablecoins in circulation;

(*b*) information relating to the provision of a digital payment token service in respect of the stablecoin;

(*c*) information relating to the person's business; and

(*d*) such other information as the Authority may require for the purposes of this Part.

(3) Subject to subsection (5), any person to whom a notice is issued under subsection (1) must comply with the notice.

(4) A person that contravenes subsection (3) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 or to imprisonment for a term not exceeding 2 years or to both and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(5) A person to whom a notice is issued under subsection (1) is not obliged to disclose any information that the person is prohibited by any written law from disclosing.

Division 2 – Designation of stablecoins

Power of Authority to designate stablecoin as a designated systemic stablecoin

40B.—(1) The Authority may, by order published in the *Gazette*, designate a stablecoin as a designated systemic stablecoin if the Authority is satisfied that any of the following considerations applies:

(*a*) any loss of value stability of the stablecoin (including where the value of the stablecoin deviates materially or persistently from the reference asset of the stablecoin), or a disruption to the issuance, redemption, transfer, settlement or continued operation of the stablecoin could —

(i) trigger or cause systemic disruption to the financial system of Singapore, or;

(ii) affect the stability of, or public confidence in the financial system of Singapore; or;

(*b*) the designation is otherwise in the interests of the public or a section of the public.

(2) Any order made under subsection (1) —

(*a*) must identify the stablecoin and the issuer of the stablecoin; and

(*b*) continues to have effect until the order is withdrawn by the Authority.

(3) The issuer or any participant in respect of a stablecoin which is aggrieved by a decision of the Authority to designate the stablecoin as a designated systemic stablecoin may, within 30 days after the order is published in the Gazette, appeal in writing to the Minister whose decision shall be final.

(4) Despite the lodging of an appeal under subsection (3), the designation by the Authority under this section continues to have effect pending the decision of the Minister.

(5) The Minister may, when deciding an appeal under subsection (3), direct the Authority to withdraw the designation of the stablecoin as a designated systemic stablecoin, and the direction takes effect from the date of the Minister's decision.

Prohibition against holding out as the issuer of a designated systemic stablecoin

40C.—(1) A person must not hold the person out as the issuer of a designated systemic stablecoin unless the stablecoin has been designated by the Authority under section 40B.

(2) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 or to imprisonment for a term not exceeding 3 years or to both, and in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

Withdrawal of designation of designated systemic stablecoin

40D.—(1) The Authority may, by order in the Gazette, withdraw the designation of any designated systemic stablecoin at any time if the Authority is of the opinion that the applicable consideration in section 40B(1) is no longer valid or satisfied.

(2) The Authority must not withdraw the designation of any designated systemic stablecoin without giving the issuer and the participants in respect of the designated systemic stablecoin an opportunity to be heard.

Division 3 – Obligations of the issuer of a designated systemic stablecoin

Obligations of the issuer of a designated systemic stablecoin in relation to reserve assets and redemption

40E.—(1) The issuer of a designated systemic stablecoin must —

(*a*) maintain reserve assets in relation to the designated systemic stablecoin that are not less than the par value of the designated systemic stablecoins in circulation;

(*b*) provide each holder of any designated systemic stablecoin issued by the issuer the right to redeem the designated systemic stablecoin on a par value basis, for the equivalent value determined by reference to the reference asset of the designated systemic stablecoin, upon the issuer's receipt of a redemption request from the holder; and

(*c*) fulfil every redemption request within such time from the issuer's receipt of the request as may be prescribed by the Authority.

(2) The issuer of a designated systemic stablecoin must satisfy the requirements prescribed by regulations made under section 103(1) in respect of —

(*a*) any matter relating to the reserve assets mentioned in subsection (1)(a), including —

(i) the maintenance of such reserve assets including the composition and valuation of such reserve assets;

(ii) the extent to which such reserve assets may be commingled with other assets held by the issuer;

(iii) the safeguarding of such reserve assets in the event of the insolvency of the issuer; and

(*b*) the terms and conditions that relate to the redemption of a designated systemic stablecoin.

(3) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

Obligations of the issuer of a designated systemic stablecoin in relation to provision of information

40F. —(1) The Authority may, by written notice, require the issuer of a designated systemic stablecoin, to provide to the Authority, with such period as the Authority may specify in the notice, all such information relating to the issuer's business of issuing designated systemic stablecoins as the Authority may specify in the notice.

(2) Without limiting subsection (1), the Authority may in a notice issued under that subsection require the issuer of a designated systemic stablecoin to provide —

(*a*) information relating to the issuance of the designated systemic stablecoin including but not limited to the volume of designated systemic stablecoins issued and the market value of all designated systemic stablecoins in circulation; and

(*b*) such other information as the Authority may require for the purposes of this Part.

(3) Subject to subsection (5), any person to whom a notice is issued under subsection (1) must comply with the notice.

(4) A person that contravenes subsection (3) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 or to imprisonment for a term not exceeding 2 years or to both and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(5) A person to whom a notice is issued under subsection (1) is not obliged to disclose any information that the person is prohibited by any written law from disclosing.

Obligations of the issuer of a designated systemic stablecoin in relation to audit of reserve assets

40G.—(1) The Authority may, by written notice, require the issuer of a designated systemic stablecoin to appoint at its own expense, an auditor, to carry out an audit in respect of the issuer's observance of its obligations under or arising from this Act in relation to reserve assets (such audit called for the purposes of this section, a "reserve assets attestation").

(2) Without limiting subsection (1), the Authority may, in the notice under that subsection, require —

(*a*) the reserve assets attestations to be carried out at such frequency and in accordance with such standards as the Authority may specify;

(*b*) the auditor to submit a report of every reserve assets attestations (each report called the "reserve assets attestation report") to the Authority in such form as may be specified and within such time as the Authority may allow; and

(c) the issuer to publish every reserve assets attestation report on its website within such time as the Authority may specify.

(3) A person that contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 or to imprisonment for a term not exceeding 2 years or to both, and in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

PART 2B

RECOGNITION OF MAS-RECOGNISED STABLECOIN ISSUERS AND MAS-RECOGNISED STABLECOINS

Interpretation of this Part

40H.—(1) In this part, unless the context otherwise requires —

"foreign corporation" means any body corporate formed or incorporated or existing outside Singapore;

"MAS-recognised stablecoin issuer" means a foreign corporation that is recognised by the Authority under section 40J(4)(a) as an MAS-recognised stablecoin issuer;

"MAS-recognised stablecoin" means a stablecoin that is issued by an MAS-recognised stablecoin issuer, and recognised by the Authority under section 40J(4)(b) as an MAS-recognised stablecoin.

Holding out as the issuer of an MAS-recognised stablecoin, etc.

40I.—(1) A person must not hold the person or any other person out as the issuer of an "MAS-recognised stablecoin" (or any of its derivatives in any language) unless the person is an MAS-recognised stablecoin issuer.

(2) A person must not hold any stablecoin out as an "MAS-recognised stablecoin" (or any of its derivatives in any language) unless the stablecoin is an MAS-recognised stablecoin.

(3) A person that contravenes subsection (1) or (2) shall be guilty of an offence and shall be liable on conviction —

(*a*) in the case of an individual, to a fine not exceeding $125,000 or imprisonment for a term not exceeding 3 years or to both and, in the case of a continuing offence, to a further fine not exceeding $12,5000 for every day or part of a day during which the offence continues after conviction; or

(*b*) in any other case, to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

(4) To avoid doubt, a reference to "MAS-recognised stablecoin" (or any of its derivatives in any language) does not include an MAS-regulated stablecoin.

Power of the Authority to recognise MAS-recognised stablecoin issuers and MAS-recognised stablecoins

40J.—(1) A foreign corporation may apply to the Authority —

(*a*) to be recognised as an MAS-recognised stablecoin issuer; and

(*b*) in connection with an application under paragraph (a), for one stablecoin issued by it to be recognised as an MAS-recognised stablecoin.

(2) An MAS-recognised stablecoin issuer may make a separate application to the Authority for any other stablecoin issued by it to be recognised as an MAS-recognised stablecoin.

(3) An application under subsection (1) or (2) must be made in such form and manner as the Authority may specify.

(4) Where an application is made under subsection (1), the Authority may recognise —

(*a*) a foreign corporation as an MAS-recognised stablecoin issuer; and

(*b*) the stablecoin specified in the application as an MAS-recognised stablecoin,

subject to such conditions or restrictions of a general or specific nature as the Authority may impose.

(5) Where an application is made by an MAS-recognised stablecoin issuer under subsection (2), the Authority may recognise any stablecoin specified in the application as an MAS-recognised stablecoin, subject to such conditions or restrictions of a general or specific nature as the Authority may impose.

(6) Without limiting subsection (4) and (5), the conditions or restrictions that the Authority may impose include —

(*a*) the activities that the MAS-recognised stablecoin issuer may undertake;

(*b*) the minimum financial requirement that the MAS-recognised stablecoin issuer has to maintain; and

(c) the requirement for the MAS-recognised stablecoin issuer to be, and to remain licensed, approved, authorised, designated, recognised, registered or otherwise regulated by a financial regulatory authority responsible for the supervision of the MAS-recognised stablecoin issuer in the country or territory in which the head office or principal place of business of the MAS-recognised stablecoin issuer is situated, to carry on the activity of stablecoin issuance in that country.

(7) The Authority may at any time add to, vary or revoke any condition or restriction that is imposed under subsection (4) or (5).

(8) An MAS-recognised stablecoin issuer must, for the duration of the recognition granted under subsections (4) and (5), satisfy every condition or restriction that may be imposed under subsections (4) and (5).

(9) The Authority must give notice in the *Gazette* of —

(*a*) the recognition of a foreign corporation as an MAS-recognised stablecoin issuer under subsection (4); and

(*b*) the recognition of each stablecoin issued by an MAS-recognised stablecoin issuer under subsection (5),

and such notice may include all or any of the conditions and restrictions imposed by the Authority under subsections (4) and (5).

(10) Any MAS-recognised stablecoin issuer which contravenes subsection (8) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $150,000 and, in the case of a continuing offence to a further fine not exceeding $15,000 for every day or part of a day during which the offence continues after conviction.

(11) In deciding whether to recognise the foreign corporation in subsection (4)(*a*), the Authority may have regard to all relevant matters that the Authority considers appropriate, including, but not limited to, the following —

(*a*) whether the foreign corporation is, in the country or territory in which the head office or principal place of business of the foreign corporation is situated, subject to requirements and supervision comparable to which MAS-regulated stablecoin issuers are subject under this Act;

(*b*) whether adequate arrangements exist for cooperation between the Authority and the financial regulatory authority responsible for the supervision of the foreign corporation in the country or territory in which the head office or principal place of business of the foreign corporation is situated;

(c) whether the Authority is of the opinion that it would be contrary to the interest of the public to recognise the foreign corporation; and

(d) such other matters as may be prescribed by the Authority.

(12) In deciding whether to recognise the stablecoin specified in a foreign corporation's application under subsection (1) or an MAS-recognised stablecoin issuer's application in subsection (2) as an MAS-recognised stablecoin, the Authority may have regard to all relevant matters that the Authority considers appropriate, including, but not limited to, the following —

(*a*) whether the foreign corporation or MAS-recognised stablecoin issuer (as the case may be) is, in the country or territory in which the stablecoin is specified in its application under subsection (1) or (2) was issued, subject to requirements relating to the stablecoin that are imposed by the financial regulatory authority of that country or territory, that are comparable to the requirements imposed on an MAS-regulated stablecoin issuer in respect of its MAS-regulated stablecoins;

(*b*) whether the Authority is of the opinion that it would be contrary to the interest of the public to recognise the stablecoin; and

(c) such other matters as may be prescribed by the Authority.

(13) For purposes of subsection (11)(a), the Authority may have regard to —

(*a*) the relevant laws and practices of the country or territory in which the head office or principal place of business of the foreign corporation is situated; and

(*b*) the rules and practices of the foreign corporation.

(14) The Authority may refuse to recognise a foreign corporation as an MAS-recognised stablecoin issuer if —

(*a*) the foreign corporation has not provided the Authority with such information as the Authority may require, relating to —

(i) the foreign corporation or any person employed by or associated with the foreign corporation for the purposes of the foreign corporation's business; or

(ii) any circumstances likely to affect the foreign corporation's manner of conducting business;

(*b*) any information or document provided by the foreign corporation to the Authority is false or misleading;

(*c*) the foreign corporation or any person who has a substantial shareholding in the foreign corporation is in the course of being wound up or otherwise dissolved, whether in Singapore or elsewhere;

(*d*) an enforcement order against the foreign corporation or any person who has a substantial shareholding in the foreign corporation in respect of a judgement debt has been returned unsatisfied in whole or in part;

(*e*) a receiver, a receiver and manager, a judicial manager or a person in an equivalent capacity has been appointed, whether in Singapore or elsewhere, in relation to, or in respect of, any property of the foreign corporation or any person who has a substantial shareholding in the foreign corporation;

(*f*) the foreign corporation or any person who has a substantial shareholding in the foreign corporation has, whether in Singapore or elsewhere, entered into a compromise or scheme of arrangement with the creditors of the foreign corporation or shareholder (as the case may be) being a compromise or scheme of arrangement that is still in operation;

(*g*) the foreign corporation, any person who has a substantial shareholding in the foreign corporation or any officer of the foreign corporation —

(i) has been convicted, whether in Singapore or elsewhere, of an offence committed before, on or after [date of bill commencement] involving fraud or dishonesty or the conviction of which involved a finding that the foreign corporation, person who has substantial shareholding in the foreign corporation or officer (as the case may be) had acted fraudulently or dishonestly; or

(ii) has been convicted of an offence under this Act committed before, on or after [date of bill commencement];

(*h*) the Authority is not satisfied as to the educational or other qualifications or experience of the officers or employees of the foreign corporation, having regard to the nature of the duties they are to perform in connection with the stablecoin issuance business of the foreign corporation;

(*i*) the foreign corporation fails to satisfy the Authority that the foreign corporation is a fit and proper person or that all of its officers, employees and persons who have a substantial shareholding in the foreign corporation are fit and proper persons;

(*j*) the Authority has reason to believe that the foreign corporation may not be able to act in the best interests of investors, customers or holders of the stablecoins issued by the foreign corporation, having regard to the reputation, character, financial integrity and reliability of the foreign corporation or its officers, employees or persons who have a substantial shareholding in the foreign corporation;

(*k*) the Authority is not satisfied as to —

(i) the financial standing of the foreign corporation or any of the persons who has a substantial shareholding in the foreign corporation; or

(ii) the manner in which the stablecoin issuance business of the foreign corporation is being conducted or is to be conducted (as the case may be);

(*l*) the Authority is not satisfied as to the record of past performance or expertise of the foreign corporation, having regard to the nature of the business which the foreign corporation may carry on in connection with the stablecoin issuance business;

(*m*) there are other circumstances which are likely to —

(i) lead to the improper conduct of business by the foreign corporation or any of its officers, employees or persons who have a substantial shareholding in the foreign corporation; or

(ii) reflect discredit on the manner of conducting the business of the foreign corporation or any of the persons who has a substantial shareholding in the foreign corporation;

(*n*) the Authority is not satisfied, having regard to the matters referred in subsection (11), that the foreign corporation should be recognised as an MAS-recognised stablecoin issuer; or

(*o*) the Authority is of the opinion that it would be contrary to the interest of the public to recognise the foreign corporation.

(15) The Authority may refuse to recognise any stablecoin specified in a foreign corporation's application under subsection (1) or an MAS-recognised stablecoin issuer's application in subsection (2) as an MAS-recognised stablecoin if —

(*a*) any information or document provided in relation to the issuance of the stablecoin to the Authority is false or misleading;

(b) the Authority is not satisfied, having regard to the matters referred to in subsection (12) that the stablecoin should be recognised as an MAS-recognised stablecoin; or

(c) the Authority is of the opinion that it would be contrary to the interest of the public to recognise the stablecoin as an MAS-recognised stablecoin.

(16) Subject to subsection (17), the Authority must not refuse to recognise a foreign corporation under subsection (14) or refuse to recognise a stablecoin under subsection (15) without giving that foreign corporation or MAS-recognised stablecoin issuer (as the case may be) an opportunity to be heard.

(17) The Authority may refuse to recognise the foreign corporation in subsection (4) or to recognise a stablecoin under subsection (4) or (5) (as the case may be) on any of the following grounds without giving the corporation an opportunity to be heard:

(*a*) the foreign corporation or MAS-recognised stablecoin issuer is in the course of being wound up or otherwise dissolved, whether in Singapore or elsewhere;

(*b*) a receiver, a receiver and manager or a person in an equivalent capacity has been appointed, whether in Singapore or elsewhere, in relation to, or in respect of, any property of the foreign corporation or MAS-recognised stablecoin;

(*c*) the foreign corporation or MAS-recognised stablecoin issuer, has been convicted, whether in Singapore or elsewhere, of an offence committed involving fraud or dishonesty or the conviction for which involved a finding that it had acted fraudulently, or dishonestly, whether the applicable offence is committed before, on or after [date of bill commencement].

Obligation to provide information and notify Authority of certain matters

40K.—(1) The Authority may, by written notice, require an MAS-recognised stablecoin issuer to provide, within the period specified in the notice, such information relating to the MAS-recognised stablecoin issuer or any MAS-recognised stablecoin issued by it as the Authority may require for the purposes of this Part, including information relating to the issuance and circulation of any MAS-recognised stablecoin issued by the MAS-recognised stablecoin issuer.

(2) An MAS-recognised stablecoin issuer must, as soon as practicable after the occurrence of any of the following events, notify the Authority of that occurrence:

(*a*) any material change to the information provided by the MAS-recognised stablecoin issuer in its application under section 40J(1) or 40J(2);

(*b*) an intention to make a material change to the stablecoin issuance business which the MAS-recognised stablecoin issuer carries on;

(*c*) any civil or criminal proceeding instituted against the MAS-recognised stablecoin issuer, whether in Singapore or elsewhere;

(*d*) any event (including an irregularity in the operations of the MAS-recognised stablecoin issuer) that materially impedes or impairs the operations of the MAS-recognised stablecoin issuer;

(*e*) the MAS-recognised stablecoin issuer being or becoming, or being likely to become, insolvent or unable to meet any of its financial, statutory, contractual or other obligations;

(*f*) any disciplinary action taken against the MAS-recognised stablecoin issuer by any regulatory authority (other than the Authority), whether in Singapore or elsewhere;

(*g*) any significant change to the regulatory requirements imposed on the MAS-recognised stablecoin issuer by any regulatory authority (other than the Authority), whether in Singapore or elsewhere;

(*h*) if it ceases to be licensed, approved, authorised, designated, recognised, registered or regulated by the financial regulatory authority responsible for the supervision of the MAS-recognised stablecoin issuer in the country or territory in which the head office or principal place of business of the MAS-recognised stablecoin issuer is situated;

(*i*) any other event that the Authority may specify by written notice.

(3) Any person who contravenes subsection (1) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $250,000 and, in the case of a continuing offence, to a further fine not exceeding $25,000 for every day or part of a day during which the offence continues after conviction.

Cancellation of recognition

40L.—(1) An MAS-recognised stablecoin issuer that intends to cease holding out an MAS-recognised stablecoin issued by it as an MAS-recognised stablecoin, or holding itself out as an MAS-recognised stablecoin issuer may apply to the Authority to cancel recognition of the stablecoin or cancel its recognition as an MAS-recognised stablecoin issuer.

(2) An application under subsection (1) must be made in such form and manner, and no later than such time as the Authority may specify.

(3)Where an MAS-recognised stablecoin issuer makes an application in subsection (1), the issuer must give notice or make a public announcement stating that it has applied to the Authority for the cancellation of the recognition of the stablecoin specified in the application or the cancellation of its recognition as an MAS-recognised stablecoin issuer, as the case may be, and the date from which it intends to cease holding out the stablecoin as an MAS-recognised stablecoin or holding itself out as an MAS-recognised stablecoin issuer.

(4) The Authority may, if it is satisfied that the MAS-recognised stablecoin issuer has complied with subsection (3), cancel the recognition of the stablecoin specified in the application or its recognition as an MAS-recognised stablecoin issuer, as the case may be, with effect from such date as the Authority may determine.

Power of Authority to revoke recognition

40M.—(1) The Authority may revoke the recognition of a foreign corporation as an MAS-recognised stablecoin issuer under section 40J(4) if —

(*a*) there exists at any time a ground under section 40J(14) or 40J(15) on which the Authority may refuse an application;

(*b*) the foreign corporation ceases to issue any MAS-recognised stablecoin recognised under section 40J(4)(b) or 40J(5);

(*c*) if the foreign corporation ceases to be licensed, approved, authorised, designated, recognised, registered or regulated by the financial regulatory authority responsible for the supervision of the foreign corporation in the country or territory in which the head office or principal place of business of the foreign corporation is situated;

(*d*) if the Authority is no longer satisfied that the foreign corporation is, in the country or territory in which the head office or principal place of business of the foreign corporation is situated, subject to requirements and supervision comparable to which MAS-regulated stablecoin issuers are subject under this Act;

(*e*) the foreign corporation contravenes any conditions or restrictions imposed under section 40J(4) or 40J(5);

(*f*) the Authority is of the opinion that the foreign corporation —

(i) is carrying on is business in a manner likely to be detrimental to the interest of the public or a section of the public;

(ii) is or is likely to become insolvent, or is or is likely to become unable to meet its obligations relating to any MAS-recognised stablecoin issued by it;

(iii) has contravened any provisions of this Act;

(*g*) has provided to the Authority any information or document required under this Act that is false or misleading in a material particular; or

(*h*) the Authority considers it in the public interest to do so.

(2) Subject to subsection (3), the Authority must not revoke the recognition of a foreign corporation as an MAS-recognised stablecoin issuer under section 40J(4)(a), or the recognition of any stablecoin under section 40J(4)(b) or 40J(5), without giving the foreign corporation or MAS-recognised stablecoin issuer an opportunity to be heard;

(3) The Authority may revoke the recognition of a foreign corporation as an MAS-recognised stablecoin issuer under section 40J(4)(a), or the recognition of any stablecoin under section 40J(4)(b) or 40J(5), on any of the following grounds without

giving the foreign corporation or MAS-recognised stablecoin issuer an opportunity to be heard;

(*a*) the foreign corporation or MAS-recognised stablecoin issuer (as the case may be) is in the course of being wound up or otherwise dissolved, whether in Singapore or elsewhere;

(*b*) a receiver, a receiver and manager or a person in an equivalent capacity has been appointed, whether in Singapore or elsewhere, in relation to, or in respect of, any property of the foreign corporation or MAS-recognised stablecoin issuer (as the case may be);

(*c*) the foreign corporation or MAS-recognised stablecoin issuer (as the case may be), has been convicted, whether in Singapore or elsewhere, of an offence committed involving fraud or dishonesty or the conviction for which involved a finding that it had acted fraudulently, or dishonestly, whether the applicable offence is committed before, on or after [date of bill commencement].

(4) Upon revocation of the recognition of an MAS-recognised stablecoin issuer, every MAS-recognised stablecoin issued by that issuer ceases to be an MAS-recognised stablecoin.

Action by Authority if an MAS-recognised stablecoin issuer is unable to meet obligations, etc.

40N. —(1) The Authority may exercise its powers specified in subsection (2) as appears to the Authority to be necessary, where —

(*a*) an MAS-recognised stablecoin issuer informs the Authority that it is or is likely to become insolvent, or that it is or is likely to become unable to meet its obligations;

(*b*) an MAS-recognised stablecoin issuer becomes unable to meet its obligations, or is insolvent;

(*c*) the Authority is of an opinion that the foreign corporation —

(i) is carrying on its business in a manner likely to be detrimental to the interest of the public or a section of the public;

(ii) is or is likely to become insolvent, or is or is likely to become unable to meet its obligations;

(iii) has contravened any provisions of this Act; or

(iv) has failed to comply with any condition or restriction imposed under section 40J(4) or (5);

(*d*) the Authority considers it in the public interest to do so.

(2) For the purposes of subsection (1), the Authority may issue to any of the following persons or classes of persons a written notice, either of a general or a specific nature, to comply with such requirements as the Authority may specify in the notice:

(*a*) any licensee or class of licensees;

(*b*) any exempt payment service provider or class of exempt payment service providers;

(*c*) any person, or class of persons, exempt under section 100.

(3) Without limiting subsection (2), a notice may be issued with respect to restricting a licensee, an exempt payment service provider, or a person exempt under section 100 from providing any digital payment token service in respect of any MAS-recognised stablecoin issued by the MAS-recognised stablecoin issuer.

(4) Where the Authority has exercised its powers under subsection (2), the Authority may, at any time and without affecting the Authority's powers under section 40M, add to, vary or revoke any requirement imposed under subsection (2).

(5) Any person that fails to comply with any requirement specified in a notice issued under subsection (2) shall be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

PART 3

PAYMENT SYSTEMS

…

Division 6 — Control of controllers of operators of designated payment systems

…

Power of Authority to issue directions for this Division

61.—(1) If the Authority is satisfied that a person has contravened section 59(1), (2) or (7) or has failed to comply with any condition imposed under section 59(4) or (5), or if the Authority has served a written notice of objection under section 60, the Authority may, by written notice —

(*a*) direct the transfer or disposal of all or any of the shares in the operator held by the person or any of the person's associates (called in this section the specified shares) within such time or subject to such conditions as the Authority considers appropriate;

(*b*) restrict the transfer or disposal of all or any of the specified shares; or

(*c*) make such other direction as the Authority considers appropriate.

(2) Where the Authority has issued any direction under subsection (1)(*a*) or imposed any restriction under subsection (1)(*b*), until a transfer or disposal is effected in accordance with the direction or until the restriction on the transfer or disposal is removed, as the case may be —

(*a*) no voting rights may be exercised in respect of the specified shares, unless the Authority expressly permits such rights to be exercised;

(*b*) no shares of the operator may be issued or offered (whether by way of rights, bonus or otherwise) in respect of the specified shares, unless the Authority expressly permits such issue or offer; and

(*c*) except in a liquidation of the operator, no payment may be made by the operator of any amount (whether by way of dividends or otherwise) in respect of the specified shares, unless the Authority expressly authorises such payment.

(3) Subsection (2) has effect despite any provision of the Companies Act 1967 or the Insolvency, Restructuring and Dissolution Act 2018 or anything contained in the constitution of the operator.

(4) Any issue or offer of shares in contravention of subsection (2)(*b*) is void, and a person to whom a direction has been issued under subsection (1)(*a*) or on whom a restriction has been imposed under subsection (1)(*b*) must immediately return those shares to the operator, upon which the operator must return to the person any payment received from the person in respect of those shares.

(5) Any payment made by an operator in contravention of subsection (2)(*c*) is void, and a person to whom a direction has been issued under subsection (1)(*a*) or on whom a restriction has been imposed under subsection (1)(*b*) must immediately return the payment the person has received to the operator.

…

PART 5

EMERGENCY POWERS

Interpretation of this Part

77. In this Part, unless the context otherwise requires —

…

"payment entity" means any of the following entities:

(a) a licensee;

(b) a person that is granted a licence under section 57B of the Banking Act 1970 to carry on the business of issuing credit cards or charge cards in Singapore;

(c) an operator of a designated payment system;

(d) a settlement institution of a designated payment system;

(e) an issuer of a designated systemic stablecoin;

…

PART 6

ASSISTANCE TO FOREIGN REGULATORY AUTHORITIES

Interpretation of this Part

84. In this Part, unless the context otherwise requires —

"enforce" means enforce through criminal or administrative proceedings;

"enforcement", in relation to a regulatory authority, means the taking of any action to enforce a law or regulatory requirement against a specified person, being a law or regulatory requirement that relates to the payment systems, ~~or~~ payment services, or stablecoin issuance activities of the foreign country of the regulatory authority concerned;

"foreign country" means a country or territory other than Singapore;

"investigation", in relation to a regulatory authority, means an investigation to determine if a specified person has contravened or is contravening a law or regulatory requirement, being a law or regulatory requirement that relates to the payment systems, ~~or~~ payment services, or stablecoin issuance activities of the foreign country of the regulatory authority concerned;

…

General exemption

100.—(1) The Authority may, by regulations, exempt any of the following from all or any of the provisions of this Act, subject to such conditions as may be prescribed:

(*a*) any person or class of persons;

(*b*) any payment service or class of payment services;

(*c*) any payment system or class of payment systems;

(*d*) any payment account or class of payment accounts;

(*e*) any shares or interests in shares, or class or description of shares or interests in shares;

(*f*) any other thing or class or description of things~~.~~;

(*g*) any stablecoins or class of stablecoins.

…

Power of Authority to exempt MAS-regulated stablecoin issuers from requirements under sections 20A(2) and 21B

100A.—(1) The Authority may, on the application of any MAS-regulated stablecoin issuer, exempt the MAS-regulated stablecoin issuer from section 20A(2)(e), 21B(1)(a) and 21B(2)(a) if the Authority considers it appropriate to do so in the circumstances of the case.

(2) An exemption under section (1) -

(*a*) may be granted by written notice subject to such conditions as the Authority may specify in that notice;

(*b*) need not be published in the Gazette; and

(*c*) may be revoked at any time by the Authority.

(3) Where the Authority exempts any MAS-regulated stablecoin issuer under subsection (1), the conditions that may be imposed under subsection (2)(a) include conditions relating to:

(*a*) the operations or activities of the MAS-regulated stablecoin issuer including in relation to its issuance of MAS-regulated stablecoins;

(*b*) the reserve assets that the MAS-regulated stablecoin issuer is required to maintain pursuant to section 21B, having regard to the risks arising from the activities of the foreign issuer and such other factors as the Authority considers relevant;

(*c*) the standards, framework, policies and procedures in relation to the attribution of, reserve assets that the MAS-regulated stablecoin issuer is

required to maintain pursuant to a condition imposed under this section, to the outstanding MAS-regulated stablecoins and foreign-issued stablecoins; and

(*d*) the maintenance and submission of records relating to reserve assets and the standards, framework, policies and procedures mentioned in subsection (c) to the Authority at such frequency as the Authority may specify.

(4) In deciding whether to grant exemption mentioned in subsection (1), the Authority may have regard to all relevant matters that the Authority considers appropriate including, but not limited to, the following:

(*a*) whether a foreign issuer is, in the country or territory in which the head office or principal place of business of the foreign issuer is situated, subject to requirements and supervision comparable to the requirements and supervision to which MAS-regulated stablecoin issuers are subject under this Act; and

(*b*) whether adequate arrangements exist for cooperation between the Authority and the financial regulatory authority responsible for the supervision of the foreign issuer in the country or territory in which the head office or principal place of business of the foreign issuer is situated.

(5) In considering whether a foreign issuer has met the requirements mentioned in subsection (4)(a), the Authority may have regard to –

(*a*) the relevant laws and practices of the country or territory in which the head office or principal place of business of the foreign corporation is situated; and

(*b*) the rules and practices of the foreign issuer.

(6) The Authority may at any time add to, vary or revoke any condition imposed under this section.

(7) A person shall be guilty to an offence if the person contravenes any condition –

(*a*) specified by the Authority under subsection 2(a); or

(*b*) added or varied under subsection (6).

(8) For the purposes of this section –

"foreign-issued stablecoins" refers to stablecoins issued by a foreign issuer that meet the characteristics specified in section 20A(2)(e).

"foreign issuer" has the meaning given to it in section 20A(2)(e).

…

Power of Authority to issue written notice

102.—(1) The Authority may, if it thinks it necessary or expedient for the effective administration of this Act, for the protection of consumers or in the interest of the public or a section of the public, for ensuring the integrity and proper management of a designated payment system, or for ensuring the integrity of the e-money stored in a payment account, issue to any of the following persons or classes of persons a written notice, either of a general or a specific nature, to comply with such requirements as the Authority may specify in the notice:

(*a*) any licensee or class of licensees;

(*b*) any operator, or class of operators, of a relevant payment system;

(*c*) any settlement institution, or class of settlement institutions, of a relevant payment system;

(*d*) any participant, or class of participants, of a relevant payment system;

(*e*) any person, or class of persons, that determines access to a relevant payment system;

(*f*) any exempt payment service provider or class of exempt payment service providers;

(*g*) any person, or class of persons, exempt under section 100;

(*ga*) any issuer or participant in respect of a designated systemic stablecoin;

(*h*) any person that contravenes, has contravened, or is likely to contravene, any provision of this Act.

(2) Without limiting subsection (1), a notice may be issued —

(*a*) with respect to —

(i) the activities that may be carried out by a licensee, an exempt payment service provider, or a person exempt under section 100, in relation to its business;

(ii) the standards, framework, policies and procedures for the prudent management of risks (including information technology risks) by a licensee, an exempt payment service provider or a person exempt under section 100, or by an operator or a settlement institution of a designated payment system;

(iii) the financial soundness, financial management and stability of a licensee, an exempt payment service provider or a person

exempt under section 100, or of an operator, a settlement institution or a participant of a designated payment system;

(iv) the standards to be maintained by a licensee, an exempt payment service provider, or a person exempt under section 100, in the conduct of its business;

(v) the arrangement and conditions that are to apply if a licensee, an exempt payment service provider or a person exempt under section 100, or an operator, a settlement institution or a participant of a designated payment system, appoints any person as an independent contractor to carry out any of the functions and duties of the licensee, exempt payment service provider, person exempt under section 100, operator, settlement institution or participant, as the case may be;

(vi) the type, form, manner and frequency of returns and other information to be submitted to the Authority;

(vii) the preparation and publication of reports on the performance of a licensee, an exempt payment service provider or a person exempt under section 100, or of an operator, a settlement institution or a participant of a designated payment system;

(viii) the remuneration of an auditor appointed under this Act and the costs of an audit carried out under this Act;

(ix) any measures to be taken by any of the following persons or classes of persons to address any discriminatory measure practised by one or more of those persons or classes of persons:

(A) any operator, or class of operators, of a relevant payment system;

(B) any settlement institution, or class of settlement institutions, of a relevant payment system;

(C) any participant, or class of participants, of a relevant payment system;

(D) any person, or class of persons, that determines access to a relevant payment system;

(x) the appointment of a person approved by the Authority —

(A) to advise an operator, a settlement institution or a participant of a designated payment system on the proper conduct of its business; or

(B) to advise a class of participants of a designated payment system on the proper conduct of the business of a participant in that class of participants;

(xi) the collection by or on behalf of the Authority of information from a licensee, an exempt payment service provider or a person exempt under section 100, or from an operator, a settlement institution or a participant of a designated payment system, in relation to the conduct of its business at such intervals or on such occasions as may be set out in the notice;

(xii) the manner in which a licensee, an exempt payment service provider or a person exempt under section 100, or an operator, a settlement institution or a participant of a designated payment system, deals with its customers, and any conflicts of interests between the licensee, exempt payment service provider, person exempt under section 100, operator, settlement institution or participant (as the case may be) and its customers;

(xiii) the duties of a licensee, an exempt payment service provider, or a person exempt under section 100, to its customers in the operation of payment accounts maintained for those customers (including duties in relation to the foreign exchange rate to be applied, where the currency for which the licensee, exempt payment service provider or person exempt under section 100 maintains a payment account for a customer is different from the currency received for payment into that payment account);

(xiv) the duties of a licensee, an exempt payment service provider, or a person exempt under section 100, to its customers in relation to the safeguarding of money under section 23 (including duties in relation to the foreign exchange rate to be applied, where the currency in which the money is safeguarded is different from the currency received by the licensee, exempt payment service provider or person exempt under section 100 from, or on account of, a customer);

(xv) the display or exhibition by a licensee, an exempt payment service provider, or a person exempt under section 100, of such cautionary statements as the Authority thinks fit in a conspicuous place at every place of business of the licensee, exempt payment service provider or person exempt under section 100; and

(xvi) the provision by a licensee, an exempt payment service provider, or a person exempt under section 100, of cautionary statements in writing to the customers of the licensee, exempt payment service provider or person exempt under section 100;

(xvii) the activities that may be carried out by an issuer of a designated systemic stablecoin, in relation to its issuance of the designated systemic stablecoin;

(xviii) the activities that may be carried out by a participant in respect of a designated systemic stablecoin, including restricting the participant from providing any digital payment token service in respect of the designated systemic stablecoin;

(xix) the standards to be maintained by an issuer of a designated systemic stablecoin, in relation to its issuance of the designated systemic stablecoin;

(xx) the requirement for an issuer of a designated systemic stablecoin to operate as a corporation;

(xxi) the disclosure to the public, in the form and manner specified by the Authority, any information relating to the operations and activities of an issuer or a participant in respect of a designated systemic stablecoin, and the manner the issuer or participant complies with any provision of this Act or requirements imposed under this Act;

(xxii) operational requirements for the purposes of risk management by an issuer of a designated systemic stablecoin (including but not limited to stress testing); and

(xxiii) financial requirements on an issuer of a designated systemic stablecoin as the Authority considers appropriate, having regard to the risks arising from the activities of its business of issuing designated systemic stablecoins and such other factors as the Authority considers relevant.

(*b*) to require any person that contravenes, has contravened, or is likely to contravene, any provision of this Act —

(i) to comply with, or to cease contravening, that provision;

(ii) to take any action necessary to enable the person to conduct the person's business in accordance with sound principles; and

(iii) where the person is a company, to remove any of its directors; and

(*c*) for any other purpose specified in this Act.

(3) It is not necessary to publish any written notice issued under subsection (1) in the *Gazette*.

(4) The Authority may at any time vary, rescind or revoke any notice issued under subsection (1).

(5) A person that fails to comply with any requirement specified in a notice issued under subsection (1) shall (if the failure to comply with that requirement is not an offence under any other provision of this Act) be guilty of an offence and shall be liable on conviction to a fine not exceeding $100,000 and, in the case of a continuing offence, to a further fine not exceeding $10,000 for every day or part of a day during which the offence continues after conviction.

(6) In this section, "discriminatory measure" means any measure that is, or is likely to be, not equally disadvantageous or advantageous to all participants of the relevant payment system, in that the measure —

(a) prejudices or benefits one or more of those participants to a greater extent than the other participants; or

(b) prejudices or benefits one or more of those participants without affecting the other participants.

Power of Authority to make regulations

103.—(1) The Authority may make regulations prescribing matters required or permitted by this Act to be prescribed, or necessary or convenient to be prescribed for carrying out or giving effect to this Act.

(2) Without limiting subsection (1), the Authority may make regulations for or with respect to —

(*a*) the fees to be paid in respect of any matter or thing required for the purposes of this Act, and the refund or remission of the whole or any part of any such fees;

(*b*) the granting, variation, change, lapsing, surrender, revocation or suspension of a licence, and all incidental matters;

(*c*) the cessation of the provision of a payment service by a licensee, an exempt payment service provider or a person exempt under section 100, and all incidental matters;

(*d*) the activities that may be carried out by an operator, a settlement institution or a participant of a designated payment system, in relation to its business;

(*e*) the standards to be maintained by an operator, a settlement institution or a participant of a designated payment system in the conduct of its business;

(*f*) any measures to be taken by an operator, a settlement institution, or a participant or class of participants, of a designated payment system in relation to its business;

(*g*) the standards, framework, policies and procedures for business continuity management (including for ensuring the availability of a designated payment system by the maintenance of a backup system) by an operator or a settlement institution of a designated payment system;

(*h*) the corporate governance of a licensee, an exempt payment service provider or a person exempt under section 100, or of an operator or a settlement institution of a designated payment system;

(*i*) prescribing the offences that may be compounded;

(*j*) prescribing the procedure —

(i) for the use of the electronic service mentioned in section 106; and

(ii) in circumstances where there is a breakdown or an interruption of the electronic service;

(*k*) the imposition, variation or revocation of an access regime;

(*l*) the acquisition or holding of shares or any other interest in an operator of a designated payment system;

(*m*) the acquisition or holding of shares or any other interest by an operator of a designated payment system in any other entity;

(*n*) different requirements for the audit of accounts in relation to different designated payment systems;

(*o*) the responsibilities of an operator or a settlement institution of a designated payment system in relation to the audit of its accounts;

(*p*) the procedures applicable in the event of a default in any payment obligations facilitated by a designated payment system, including the suspension and re-admission of any participants of the designated payment system;

(*q*) the determination, for the purposes of this Act, of the equivalent in foreign currency of a Singapore dollar amount, including the exchange rate and time at which the amount of foreign currency is to be translated to Singapore currency;~~,~~

(*r*) the maintenance by an issuer of a designated systemic stablecoin of minimum capital of a prescribed amount and in a prescribed manner; and

(*s*) the standards, systems, and processes which an issuer or a participant in respect of a designated systemic stablecoin must adopt or establish to protect the integrity, authenticity and confidentiality of data relating to –

(i) in the case of the issuer, the issuance of the designated systemic stablecoin (including the redemption of the designated systemic stablecoin); and

(ii) in the case of a participant, the provision of any digital payment token service in respect of the designated systemic stablecoin.

(3) Except as otherwise expressly provided in this Act, regulations made under this Act —

(*a*) may be of general or specific application;

(*aa*) may relate to all, or any class, category or description of persons or payment services, MAS-regulated stablecoin issuers or MAS-regulated stablecoins, and may make different provisions for different classes, categories or descriptions of persons or payment services, MAS-regulated stablecoin issuers or MAS-regulated stablecoins, or to a particular person or payment service, MAS-regulated stablecoin issuer or MAS-regulated stablecoin;

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(*b*) may contain such saving and transitional provisions as the Authority may consider necessary or expedient;

(*c*) may provide that a contravention of any specified provision of the regulations shall be an offence; and

(*d*) may provide —

(i) in the case of an individual, for penalties not exceeding a fine of $50,000 or imprisonment for a term not exceeding 2 years or both for each offence and, in the case of a continuing offence, a further penalty not exceeding a fine of $5,000 for every day or part of a day during which the offence continues after conviction; and

(ii) in any other case, for penalties not exceeding a fine of $100,000 and, in the case of a continuing offence, a further penalty not

exceeding a fine of $10,000 for every day or part of a day during which the offence continues after conviction.

Publication of certain information

104.—(1) The Authority may, from time to time, prepare and publish —

(*a*) consolidated statements aggregating any information provided under this Act; or

(*b*) for statistical purposes, statements that relate to or are derived from any information provided under this Act in respect of —

(i) a payment system, being the only payment system in its class; or

(ii) a payment service provided by a licensee that is a payment service provider, being the only payment service in its class; or .

(iii) an MAS-regulated stablecoin issued by a licensee that is an MAS-regulated stablecoin issuer, being the only MAS-regulated stablecoin issued in its class.

(2) The Authority may, from time to time and in such form or manner as the Authority considers appropriate, publish such information as the Authority may consider necessary or expedient to publish in the public interest, including information relating to all or any of the following:

(*a*) the lapsing, surrender, revocation or suspension of the licence of any person under section 11;

(*b*) the acceptance by any person of an offer to compound an offence under section 96;

(*c*) the revocation or withdrawal of any exemption granted under this Act;

(*d*) the conviction of any person for any offence under this Act;

(*e*) any other action taken by the Authority against any person under this Act.

…

113A. —(1) Section 2 of the Financial Services and Markets Act 2022 is amended by inserting, immediately after paragraph (o) of the definition of "financial institution", the following paragraph:

"(*oa*) any issuer of a stablecoin that is designated under the Payment Services Act 2019;"

FIRST SCHEDULE

PART 2

SERVICES THAT ARE NOT PAYMENT SERVICES

2. Despite Part 1 of this Schedule, the following services are not payment services for the purposes of this Act:

…

(*l*) any digital payment token service that is provided in respect of any limited purpose digital payment token;

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(*m*) any digital payment token service that is provided by any MAS-regulated stablecoin issuer in respect of any MAS-regulated stablecoin that it issues where the digital payment token service is incidental to its business of issuing MAS-regulated stablecoins.